

Undertaking to the Australian Competition and Consumer  
Commission

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Given under section 87B of the *Competition and  
Consumer Act 2010* by Federation Centres  
Limited, Federation Limited and Federation  
Manager Ltd

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## **1 Person giving the Undertaking**

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- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by
- (a) Federation Centres Limited (ABN 88 149 781 322) in its capacity as responsible entity of Federation Centres Trust No. 1;
  - (b) Federation Limited (ABN 90 114 757 783);
  - (c) Federation Manager Ltd (ABN 69 051 908 984) as the trustee of Karingal Trust No. 1 (ABN 77 236 953 143); and
  - (d) Federation Manager Ltd (ABN 69 051 908 984) as the trustee of Karingal Trust No. 2 (ABN 17 559 520 826).
- 1.2 In this Undertaking, Federation Limited and Federation Centres Limited in its capacity as responsible entity of Federation Centres Trust No. 1 are together referred to as **Federation Centres**. Federation Manager Ltd is referred to as **Federation Manager**.

## **2 Background**

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### **The Parties to the Proposed Transaction**

#### *Federation Centres*

- 2.1 Federation Centres owns, develops and manages shopping centres in Australia.
- 2.2 In the South East Melbourne area, Federation Centres indirectly holds a 50 per cent interest in Karingal Hub Shopping Centre and a 50 percent interest in Karingal Entertainment Centre (together, **Karingal Hub**).
- 2.3 The ownership structure for Karingal Hub Shopping Centre is as follows:
- (a) 50 per cent is held directly by Federation Manager Ltd (ABN 69 051 908 984) as the trustee of Karingal Trust No. 1 (ABN 77 236 953 143); and
  - (b) 50 per cent is held directly by ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273).
- 2.4 The ownership structure of Karingal Entertainment Centre is as follows:
- (a) 50 per cent is held directly by Federation Manager Ltd (ABN 69 051 908 984) as the trustee of and Karingal Trust No. 2 (ABN 17 559 520 826); and
  - (b) 50 per cent is held directly by ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273).
- 2.5 Karingal Trust No. 1 and Karingal Trust No. 2 are wholly owned by Federation Centres Trust No. 1.
- 2.6 Karingal Hub is located approximately 4.3km from the Frankston CBD and comprises a shopping centre (Karingal Hub Shopping Centre) and a separate entertainment precinct (Karingal Entertainment Centre). Karingal Hub is classified as a sub-regional centre in that it has at least one discount department store (Karingal Hub has two discount department stores), at least one major supermarket (Karingal Hub has two supermarkets) and a range of specialty shops. Karingal Hub Shopping Centre and Karingal Entertainment Centre are managed together as one centre.

#### *Novion Property Group*

- 2.7 The Novion Property Group (being Novion Limited and Novion Trust) owns, develops and manages shopping centres in Australia.
- 2.8 In the South East Melbourne area, the Novion Property Group holds a 100 per cent interest in the Bayside Shopping Centre (**Bayside**).
- 2.9 Bayside is a regional shopping centre situated in the heart of Frankston, approximately 40 km south of Melbourne's CBD. The centre is anchored by Myer, Coles, Target, Safeway, Kmart, Aldi, Rebel Sport, Toys "R" Us, Best & Less, Country Road and Hoyts Cinema, and includes more than 250 specialty stores. Bayside is classified as a regional centre in that it has at least 25,000 square metres (sqm) of gross lettable area (GLA) and at least one department store or discount department store with a minimum of 10,000 sqm GLA.

#### **The Proposed Transaction**

- 2.10 Federation Centres has entered into a Merger Implementation Agreement dated 3 February 2015 with Novion Limited and Novion RE Limited as responsible entity for Novion Trust (together, **Novion**) in respect of Federation Centres' proposed acquisition of Novion via a company scheme of arrangement and a trust scheme (the **Proposed Transaction**).
- 2.11 Federation Centres and Novion have sought informal merger clearance from the ACCC.

#### **The ACCC's review**

- 2.12 On 4 February 2015, the ACCC commenced its public review of the Proposed Transaction.
- 2.13 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Transaction, industry participants and others. The purpose of the ACCC's inquiries was to assess whether the Proposed Transaction would have the effect, or be likely to have the effect, of substantially lessening competition in any market in contravention of section 50 of the Act.

#### **The ACCC's competition concerns**

- 2.14 The ACCC has concluded that, in the absence of the Undertaking, the Proposed Transaction would have the effect, or be likely to have the effect, of substantially lessening competition in relation to the supply of shopping centre amenities to customers (shoppers) in South East Melbourne. The ACCC also had competition concerns about the effect of the proposed transaction in relation to the supply of retail space in shopping centres to retailers in South East Melbourne, as set out below.
- 2.15 The ACCC considered that a starting point for assessing the impact of the Proposed Transaction in particular geographic areas was to assess the level of competition provided by alternative shopping centres within approximately 10 kilometres of any relevant overlap between shopping centres owned by Federation Centres and Novion.
- 2.16 On this basis, the ACCC's review focused on the South East Melbourne geographic region, where it considered that the Bayside shopping centre (owned by Novion) and the Karingal Hub shopping centre (part owned by Federation Centres), were the only multi-purpose shopping centres of any significant scale within approximately 20km of the Frankston CBD. The ACCC considered that Bayside and Karingal Hub were each other's closest competitors in the supply of shopping centre amenities to customers, and in supplying retail space in shopping centres to

retailers, in this geographic region, and that the aggregation of these centres could result in anti-competitive effects.

*The supply of shopping centre amenities to customers in South East Melbourne*

- 2.17 The ACCC was concerned that common ownership of Bayside and Karingal Hub would have the potential to reduce the incentive of the merged entity to expand and develop Bayside and/or Karingal Hub. This was because a portion of the expected gains from any such development for each individual centre, under separate ownership, would have come from attracting customers which would otherwise visit the other centre; under common ownership this would not be regarded as an overall gain to the merged entity. This reduced incentive to expand and develop the two centres had the potential to result in reduced amenities and retail offerings being supplied to shoppers in the region when compared to the position in the absence of the Proposed Transaction.
- 2.18 The ACCC also considered that the merged entity would have had the ability and incentive to operate Bayside and Karingal Hub in a way which maximised total rental yields across the two centres. The ACCC considered that this may have involved selecting a mix of tenants which less directly overlap and compete between the two centres, which could have represented a loss of convenience and potentially price competition for shoppers in the local area.

*The supply of retail space in shopping centres to retailers in South East Melbourne*

- 2.19 The ACCC was also concerned about the possible future ability of the merged entity to extract higher rents from retailers seeking to lease space in South East Melbourne, particularly retailers relying on comparison shopping such as clothing, footwear, jewellery and gift stores. This is because of the lack of other regional and sub-regional shopping centres in the local area, and the very limited ability of retailers to substitute to other forms of retail space in the local area.

**The Undertaking remedy**

- 2.20 Federation Centres and Federation Manager do not consider that the Proposed Transaction would be likely to substantially lessen competition in the relevant markets. However, as part of Federation Centres' and Novion's request for informal clearance of the Proposed Transaction, and in order to address the ACCC's competition concerns, Federation Centres and Federation Manager have, without admission, offered this Undertaking under section 87B of the Act to divest the Karingal Hub Divestiture Property to a purchaser approved by the ACCC, unless notice has been provided to the ACCC that the Bayside Divestiture Property will be divested.
- 2.21 Novion has given an undertaking to the ACCC pursuant to section 87B (Schedule 6) in a similar form requiring that it may divest the Bayside Divestiture Property, unless notice has been provided pursuant to this Undertaking that the Karingal Hub Divestiture Property will be divested.
- 2.22 The objective of this Undertaking is to address the ACCC's competition concerns as set out above that would otherwise arise as a consequence of the Proposed Transaction. The Undertaking aims to achieve this objective by placing obligations on Federation Centres and Federation Manager to:
- (a) ensure that the Karingal Hub Divestiture Property is sold to an Approved Purchaser, if a relevant notice is given under this Undertaking;

- (b) from the Control Date, ensure that Novion complies with its obligations in the Novion Undertaking;
- (c) create or strengthen a viable, effective, stand-alone independent and long term competitor for the supply of shopping centre amenities to customers in South East Melbourne;
- (d) ensure the purchaser of the Karingal Hub Divestiture Property has all the necessary associated assets and rights to compete effectively with the merged entity;
- (e) maintain the economic viability, marketability, competitiveness and goodwill of the Karingal Hub Divestiture Property prior to any divestiture; and
- (f) provide for the effective oversight of Federation Centres' and Federation Manager's compliance with this Undertaking.

### **3 Commencement of this Undertaking**

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#### **Commencement**

3.1 This Undertaking comes into effect when:

- (a) this Undertaking is executed by Federation Centres and Federation Manager; and
  - (b) this Undertaking so executed is accepted by the ACCC
- (the **Commencement Date**).

### **4 Compliance with Novion undertaking and ongoing application of Undertaking**

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- 4.1 From the Control Date, Federation Centres, Federation Manager and any Related Body Corporate of Federation Centres must take all steps to enable Novion or a Related Body Corporate of Novion to comply with its obligations pursuant to the Novion Undertaking.
- 4.2 A reference in this Undertaking to obligations on Federation Centres and Federation Manager that apply after the Control Date is to be read as a reference to obligations on Federation Centres and Federation Manager within the merged entity.

### **5 Cessation of ongoing obligations**

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#### **Withdrawal**

- 5.1 Federation Centres and Federation Manager may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.
- 5.2 For completeness, if the Proposed Transaction does not occur, then there will be no Control Date and Federation Centres and Federation Manager may make a written request to the ACCC for withdrawal of this Undertaking in accordance with section 87B of the Act.

#### **Revocation**

- 5.3 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

## **Waiver**

- 5.4 The ACCC may, at any time, expressly waive in writing any of the obligations contained in the Undertaking or extend the date by which any such obligation is to be satisfied.

## **Survival**

- 5.5 Unless and until this Undertaking is withdrawn in accordance with clauses 5.1 or 5.2, clauses 1, 2, 3, 4, 5, 10, 12, 13, 14, 15, 16 and 17 survive completion of the obligations in clauses 6, 7, 8, 9, 11 and Schedules 4 and 5.

## **6 Divestiture of the Karingal Hub Divestiture Property**

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- 6.1 At least 20 Business Days before the end of the Initial Sale Period, Federation Centres and Federation Manager must provide to the ACCC a notice in writing that the Karingal Hub Divestiture Property will be divested, unless by that date, Novion has provided written notice to the ACCC that the Bayside Divestiture Property will be divested.
- 6.2 If Federation Centres and Federation Manager give notice to divest the Karingal Hub Divestiture Property pursuant to clause 6.1, Federation Centres and Federation Manager must, in accordance with this Undertaking, divest, or cause the divestiture of, the Karingal Hub Divestiture Property within the Initial Sale Period, otherwise clause 11 applies.
- 6.3 In the event that clause 11 applies, Federation Centres and Federation Manager must not authorise the Approved Divestiture Agent to divest the Karingal Hub Divestiture Property to a purchaser other than an Approved Purchaser.
- 6.4 If Federation Centres and Federation Manager give notice to divest the Karingal Hub Divestiture Property pursuant to clause 6.1 or clause 11.1:
- (a) Federation Centres and Federation Manager must divest, or cause the divestiture of, the Karingal Hub Divestiture Property by:
    - (i) Federation Manager Ltd:
      - (A) as trustee for Karingal Trust No. 1 disposing of its 50% interest in Karingal Hub Shopping Centre; and
      - (B) as trustee for Karingal Trust No.2 disposing of its 50% interest in Karingal Entertainment Centreonly to an Approved Purchaser pursuant to the Approved Property Sale Agreement;
    - (ii) the transfer or grant to the Approved Purchaser of all Consents pursuant to clauses 6.5 and 6.6;
    - (iii) the transfer of any Karingal Hub Transferred Personnel required pursuant to clauses 6.8 and 6.9; and
    - (iv) complying with any Approved Transitional Supply Agreement required pursuant to clauses 6.10 to 6.12.

## **Consents**

6.5 Federation Centres and Federation Manager must:

- (a) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the sale of the Karingal Hub Divestiture Property;
- (b) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
- (c) act in good faith in negotiations with the Approved Purchaser in relation to obtaining any Consents;
- (d) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents; and
- (e) enter an Approved Transitional Supply Agreement with the Approved Purchaser, or vary any existing Approved Transitional Supply Agreement, as required by the Approved Purchaser, in relation to any services that are required for the operation of the Karingal Hub Divestiture Property which may be affected by any failure to gain a Consent.

6.6 If, seven Business Days before the expected completion of the sale of the Karingal Hub Divestiture Property, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then Federation Centres and Federation Manager must:

- (a) immediately provide to the ACCC in writing details of the:
  - (i) Consents that have not been obtained;
  - (ii) reasons why the Consents have not been obtained; and
  - (iii) information or material required to obtain the Consents.
- (b) continue to do everything in its power to satisfy clause 6.5 as soon as possible after the completion of the sale of the Karingal Hub Divestiture Property (and until such time as clause 6.5 is satisfied)

6.7 Even if Federation Centres and Federation Manager have complied with clauses 6.5 and 6.6, it remains a breach of this Undertaking if Federation Centres and Federation Manager are unable to effect the divestiture of the Karingal Hub Divestiture Property by reason of a failure to obtain Consents.

## **Transferred Personnel**

6.8 If Federation Centres and Federation Manager give notice to divest the Karingal Hub Divestiture Property pursuant to clause 6.1 or clause 11.1, at the option of the Approved Purchaser, Federation Centres and Federation Manager must transfer to the Approved Purchaser:

- (a) all employees; and
- (b) all service providers under a contract for service;

who are, in the view of the Approved Purchaser, required for the Approved Purchaser to maintain, operate or conduct effectively the Karingal Hub Divestiture Property and who consent to the

transfer of their employment or contract for service to the Approved Purchaser (**Karingal Hub Transferred Personnel**).

- 6.9 When fulfilling their obligations under clause 6.8, Federation Centres and Federation Manager must:
- (a) not directly or indirectly discourage any Karingal Hub Transferred Personnel from any obligations to provide services to the Approved Purchaser;
  - (b) effective on the date of the divestiture of the Karingal Hub Divestiture Property, release the Karingal Hub Transferred Personnel from any obligations to provide services to Federation Centres or Federation Manager;
  - (c) effective on the date of the divestiture of the Karingal Hub Divestiture Property, release the Karingal Hub Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Karingal Hub Divestiture Property; and
  - (d) not procure, promote or encourage the transfer of any of the Karingal Hub Transferred Personnel from the Approved Purchaser to Federation Centres or Federation Manager for a period of six months after the date of the divestiture of the Karingal Hub Divestiture Property.

#### **Transitional Supply Agreement**

- 6.10 If Federation Centres and Federation Manager give notice to divest the Karingal Hub Divestiture Property pursuant to clause 6.1 or clause 11.1, then, at the option of the Approved Purchaser, Federation Centres and Federation Manager must ensure the continued supply by Federation Centres and/or Federation Manager to the Approved Purchaser, under an Approved Transitional Supply Agreement, of any services that are required by the Approved Purchaser in order for the Approved Purchaser to be established as a viable, effective, stand-alone, independent and long-term competitor in the supply of shopping centre amenities to customers (shoppers) in South East Melbourne.
- 6.11 Federation Centres and Federation Manager must ensure that any Approved Transitional Supply Agreement and any renewal or extension of an Approved Transitional Supply Agreement:
- (a) is for a reasonable transitional period, to be nominated by the Approved Purchaser and approved in writing by the ACCC;
  - (b) other than in relation to centre management and property management services, provides for the supply of the included services at cost price and is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms; and
  - (c) in relation to centre management and property management services, is on such terms which are no less favourable to the Approved Purchaser than arm's length terms.
- 6.12 To avoid doubt, Federation Centres and Federation Manager must seek prior written approval from the ACCC of any renewal or extension of an Approved Transitional Supply Agreement. Without limiting the ACCC's discretion, in making a decision on whether to approve a renewal or extension of an Approved Transitional Supply Agreement, the ACCC will have regard to the criteria set out in clauses 6.10 and 6.11.

## **7 Process for approving a proposed purchaser**

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### **Provision of a notice for a Proposed Purchaser**

- 7.1 To seek ACCC approval for a Proposed Purchaser, Federation Centres, Federation Manager or the Approved Divestiture Agent must provide the ACCC with a Proposed Purchaser Notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**), including a draft property sale agreement and a draft transitional supply agreement (where required by the Proposed Purchaser).
- 7.2 If Federation Centres and Federation Manager give notice to divest the Karingal Hub Divestiture Property pursuant to clause 6.1, then they must provide a Proposed Purchaser Notice to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period. Federation Centres and Federation Manager may provide the ACCC with more than one Proposed Purchaser Notice.

### **ISPT Pty Ltd approved as Approved Purchaser at the time the Undertaking was accepted**

- 7.3 At the time this Undertaking was accepted, the ACCC considered information of the type required in a Proposed Purchaser Notice and approved ISPT Pty Ltd as an Approved Purchaser of the Karingal Hub Divestiture Property.
- 7.4 ACCC approval of ISPT Pty Ltd as an Approved Purchaser of the Karingal Hub Divestiture Property included approval of the draft property sale agreement which is in the form prescribed by the Co-Owners' Agreement as the Approved Property Sale Agreement.

### **Approval of a Proposed Purchaser after the Commencement Date**

- 7.5 Subject to clauses 7.3 and 7.4, the ACCC shall have the discretion to approve or reject in writing a Proposed Purchaser identified in the Proposed Purchaser Notice, which includes consideration of:
- (a) the draft property sale agreement attached to the Proposed Purchaser Notice; and
  - (b) any draft transitional supply agreement attached to the Proposed Purchaser Notice.
- 7.6 Without limiting the ACCC's discretion, in making the decision described in clause 7.5, the factors to which the ACCC may have regard include whether the:
- (a) draft property sale agreement is consistent with this Undertaking (or where applicable the Novion Undertaking);
  - (b) Proposed Purchaser will complete the transaction as contemplated by the draft property sale agreement;
  - (c) Proposed Purchaser is independent of, and has no direct or indirect interest in, Federation Centres, Federation Manager or Novion;
  - (d) Proposed Purchaser is of good financial standing;
  - (e) Proposed Purchaser has an intention to maintain and operate the Karingal Hub Divestiture Property or the Unsold Property as a going concern;
  - (f) Proposed Purchaser is able to manage the Karingal Hub Divestiture Property or the Unsold Property, or intends to appoint a suitably qualified person to manage the Karingal Hub Divestiture Property or the Unsold Property; and

- (g) divestiture of the Karingal Hub Divestiture Property or the Unsold Property to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Karingal Hub Divestiture Property or the Unsold Property under the ownership of the Proposed Purchaser.
- 7.7 A Proposed Purchaser may satisfy the terms of clause 7.6(c) notwithstanding that it co-owns or jointly owns another shopping centre with Federation Centres or Federation Manager.
- 7.8 The ACCC may revoke an Approved Purchaser's status as an Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

## **8 Divestiture Property Protection**

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### **Protection of the Karingal Hub Divestiture Property**

- 8.1 From the Control Date until completion of the sale of the Karingal Hub Divestiture Property or the completion of the sale of the Bayside Divestiture Property (as the case may be), Federation Centres and Federation Manager must not:
  - (a) sell or transfer their interest in, or any assets comprising part of, or used in, the Karingal Hub Divestiture Property; or
  - (b) make any Material Change to the Karingal Hub Divestiture Property,except in accordance with this Undertaking or (subject to the terms of this Undertaking) as required to allow completion of the Proposed Transaction.

### **Federation Centres' and Federation Manager's obligations in relation to the Karingal Hub Divestiture Property prior to completion of divestiture**

- 8.2 Without limiting this clause 8, Federation Centres and Federation Manager must, from the Control Date until completion of the divestiture of the Karingal Hub Divestiture Property or the completion of the divestiture of the Bayside Divestiture Property (as the case may be), take all steps available to it to:
  - (a) ensure that the Karingal Hub Divestiture Property is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Karingal Hub Divestiture Property as at the Control Date;
  - (b) continue to provide access to working capital and sources of credit for the Karingal Hub Divestiture Property in a manner which is consistent with the financing of the Karingal Hub Divestiture Property before the Control Date;
  - (c) continue to provide administrative support for the Karingal Hub Divestiture Property in a manner which is consistent with the operation of the Karingal Hub Divestiture Property before the Control Date and in accordance with any plans established before the Control Date;
  - (d) ensure that arrangements, agreements or contracts with tenants, licencees other occupants, service providers or other third parties that are in place on the Control Date relating to the Karingal Hub Divestiture Property continue subject to their terms and subject to any Material Change made by Federation Centres and/or Federation Manager

to improve the operational efficiency of the Karingal Hub Divestiture Property and which are approved in writing by the ACCC;

- (e) maintain the supply of those services that are part of the Karingal Hub Divestiture Property to existing tenants, licencees and other occupants in a manner consistent with the supply of those services as at the Control Date;
- (f) maintain the operational standard and quality of the Karingal Hub Divestiture Property, and of those services that are part of the Karingal Hub Divestiture Property as at the Control Date; and
- (g) carry out promotion and marketing of the assets which form part of the Karingal Hub Divestiture Property in accordance with any plans established before the Control Date.

#### **Personnel of Federation Centres and Federation Manager**

8.3 From the Control Date until completion of the sale of the Karingal Hub Divestiture Property or the completion of the sale of the Bayside Divestiture Property (as the case may be), Federation Centres and Federation Manager:

- (a) must maintain existing staffing levels at the Karingal Hub Divestiture Property;
- (b) must not terminate the employment or engagement of any of the Karingal Hub Transferred Personnel unless Federation Centres and Federation Manager appoint replacement staff with suitable qualifications and experience;
- (c) must not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Karingal Hub Divestiture Property as at the Control Date to any other business operated by Federation Centres, Federation Centres or Novion unless the Approved Purchaser has already notified Federation Centres, Federation Manager or the personnel concerned that it does not wish to employ or retain the personnel in the Karingal Hub Divestiture Business after completion of the divestiture; and
- (d) must not directly or indirectly procure, promote or encourage the Karingal Hub Centre Manager to be subsequently engaged by any business operated by Federation Centres, Federation Manager or Novion unless the Approved Purchaser has already notified Federation Centres, Federation Manager or the personnel concerned that it does not wish to employ or retain the personnel in the Karingal Hub Divestiture Business after completion of the divestiture.

8.4 As soon as practicable after the Commencement Date, Federation Centres and Federation Manager must direct their personnel, including directors, contractors, managers, officers, employees and agents, not to do anything inconsistent with Federation Centres' or Federation Manager's obligations under this Undertaking.

#### **Day to day management of the Karingal Hub Divestiture Property**

8.5 Without limiting the obligations in clause 9, from the Control Date until completion of the sale of the Karingal Hub Divestiture Property or the completion of the sale of the Bayside Divestiture Property (as the case may be):

- (a) the Karingal Hub Manager will manage the Karingal Hub Divestiture Property in the ordinary course of business as a fully operational, competitive going concern and in such

a way that preserves the economic viability, marketability, competitiveness and goodwill of the Karingal Hub Divestiture Property as at the Control Date;

- (b) Federation Centres and Federation Manager must not interfere with the authority of, or otherwise hinder, the Karingal Hub Manager's ability to carry out its obligations as the manager of Karingal Hub;
- (c) the Karingal Hub Manager may also be appointed as the Approved Supervising Manager pursuant to clause 9; and
- (d) the day to day operations of the Karingal Hub Manager in relation to the Karingal Hub Divestiture Property will be managed and/or carried out by the Karingal Hub Centre Manager with the assistance of adequately qualified and experienced staff.

## **9 Management of the Karingal Hub Divestiture Property**

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### **Obligation to appoint an Approved Supervising Manager**

- 9.1 Federation Centres and Federation Manager must appoint and maintain an Approved Supervising Manager to manage the Karingal Hub Divestiture Property, from the Control Date until the completion of the divestiture of the Karingal Hub Divestiture Property or the Bayside Divestiture Property (as the case may be) in accordance with this Undertaking.

### **Proposed Supervising Manager approved at the time the Undertaking was accepted**

- 9.2 At the time this Undertaking was accepted, the ACCC approved (and Federation Centres appointed) Federation Custodian Pty Ltd as trustee for Federation Property Management Trust (ABN 21 969 875 489) as the Approved Supervising Manager of the Karingal Hub Divestiture Property.
- 9.3 ACCC approval of Federation Custodian Pty Ltd as trustee for Federation Property Management Trust as the Approved Supervising Manager of the Karingal Hub Divestiture Property included approval of the proposed terms of appointment and the Co-Ownership Agreements, as the Approved Terms of Appointment and Approved Management Plan.

### **Process for approving a Proposed Supervising Manager in other circumstances**

- 9.4 If clauses 9.13, 9.14 or 9.15 apply, Federation Centres and Federation Manager must provide the ACCC with a Proposed Supervising Manager Notice in the form prescribed in Schedule 3 to this Undertaking (**Proposed Supervising Manager Notice**) within five Business Days after the relevant event occurs, otherwise clause 9.9 applies.
- 9.5 The ACCC shall have the discretion to approve or reject in writing the Proposed Supervising Manager identified in the Proposed Supervising Manager Notice.
- 9.6 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Supervising Manager, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Supervising Manager Notice or identified by the ACCC has the qualifications and experience necessary to manage the Karingal Hub Divestiture Property;
  - (b) person named in the Proposed Supervising Manager Notice or identified by the ACCC is sufficiently independent of Federation Centres and Federation Manager;

- (c) draft terms of appointment and the draft separation and management plan are consistent with this Undertaking; and
- (d) draft terms of appointment and the draft separation and management plan are otherwise acceptable to the ACCC.

#### **Appointment of the Approved Supervising Manager**

9.7 After receiving a written notice from the ACCC of its approval of the Proposed Supervising Manager, the draft terms of appointment and draft separation and management plan, Federation Centres and Federation Manager must, within two Business Days:

- (a) appoint the person approved by the ACCC as the Approved Supervising Manager on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

#### **Failure to appoint**

9.8 If the Approved Supervising Manager has not been appointed:

- (a) within 15 Business Days after the Control Date;
- (b) within 15 Business Days after the Approved Supervising Manager resigns or otherwise ceases to act as the Approved Supervising Manager pursuant to clause 9.13, 9.14 or 9.15; or
- (c) if the ACCC has not received a Proposed Supervising Manager Notice pursuant to clause 9.4;

then clause 9.9 applies.

9.9 If clause 9.8 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Supervising Manager, including approving the draft terms of appointment of the Approved Supervising Manager and the draft separation and management plan; and/or
- (b) direct Federation Centres and Federation Manager to appoint a person who the ACCC has deemed is an Approved Supervising Manager.

#### **Obligations and powers of the Approved Supervising Manager**

9.10 Federation Centres and Federation Manager must procure that any terms of appointment for the Approved Supervising Manager include obligations on the Approved Supervising Manager to:

- (a) from the Control Date, deploy the Karingal Hub Centre Manager solely in the role of Karingal Hub Centre Manager;
- (b) in fulfilling its functions and obligations as the Karingal Hub Manager and/or Approved Supervising Manager of Karingal Hub Divestiture Property, act in the best interests of the Karingal Hub Divestiture Property at all times including ensuring that the Karingal Hub Divestiture Property is managed and operated in the ordinary course of business as a

fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Karingal Hub Divestiture Property as at the Control Date;

- (c) not use any confidential information gained through the management of the Karingal Hub Divestiture Property other than for performing its functions as Approved Supervising Manager and/or Karingal Hub Manager;
- (d) make only those Material Changes to the Karingal Hub Divestiture Property which have been approved by the ACCC;
- (e) operate and manage the Karingal Hub Divestiture Property to the maximum extent practicable, in a manner which is operationally separate from Federation Centres' and Federation Manager's retained properties;
- (f) co-operate with the requests of any Approved Divestiture Agent or Approved Independent Auditor appointed pursuant to this Undertaking;
- (g) provide the following reports directly to the ACCC:
  - (i) a monthly written report regarding the implementation of and any suggested changes to the Approved Management Plan or Approved Separation and Management Plan (as applicable); and
  - (ii) an immediate report of any issues that arise in relation to the implementation of the Approved Management Plan or Approved Separation and Management Plan (as applicable) or Federation Centres' or Federation Manager's compliance with this Undertaking; and
- (h) follow any direction given to it by the ACCC in relation to the performance of its functions as Approved Supervising Manager pursuant to this Undertaking.

9.11 Federation Centres and Federation Manager must procure that any terms of appointment for the Approved Supervising Manager provide the Approved Supervising Manager with the sole authority to:

- (a) manage and operate the Karingal Hub Divestiture Property according to the Approved Management Plan or Approved Separation and Management Plan (as applicable) until the completion of the divestiture of the Karingal Hub Divestiture Property;
- (b) provide any information requested by Federation Centres and Federation Manager pursuant to the Approved Management Plan or Approved Separation and Management Plan (as applicable);
- (c) renew or replace upon expiry Material Contracts for the provision of goods or services to the Karingal Hub Divestiture Property on commercial terms favourable to the Karingal Hub Divestiture Property;
- (d) engage, redeploy or make redundant personnel employed in the Karingal Hub Divestiture Property as the Approved Supervising Manager determines necessary; and
- (e) engage any external expertise, assistance or advice required by the Approved Supervising Manager to perform its functions as the Approved Supervising Manager.

**Federation Centres' and Federation Manager's obligations in relation to the Approved Supervising Manager**

9.12 Without limiting its obligations in this Undertaking, Federation Centres and Federation Manager must:

- (a) comply with and enforce the Approved Terms of Appointment of the Approved Supervising Manager including the obligations in clause 9.10;
- (b) maintain and fund the Approved Supervising Manager to carry out its functions, including:
  - (i) indemnifying the Approved Supervising Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Supervising Manager of its functions as the Approved Supervising Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Supervising Manager;
  - (ii) ensuring that the Approved Supervising Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) which the Approved Supervising Manager considers are required by the Karingal Hub Divestiture Property; and
  - (iii) providing and paying for any external expertise, assistance or advice required by the Approved Supervising Manager to perform its functions as the Approved Supervising Manager; and
- (c) not interfere with the authority of, or otherwise hinder, the Approved Supervising Manager's ability to carry out its obligations as the Approved Supervising Manager, including:
  - (i) accepting (and directing its directors, contractors, managers, officers, employees and agents to accept) relevant direction from the Approved Supervising Manager as to the control, management, financing and operations of the Karingal Hub Divestiture Property, and for the Karingal Hub Divestiture Property to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
  - (ii) providing access to the facilities, sites or operations of the Karingal Hub Divestiture Property required by the Approved Supervising Manager; and
  - (iii) providing to the Approved Supervising Manager any information or documents that he or she considers necessary for managing and operating the Karingal Hub Divestiture Property or for reporting to or otherwise advising the ACCC.

**Resignation, revocation or termination of the Approved Supervising Manager**

- 9.13 Federation Centres and Federation Manager must immediately notify the ACCC in the event that the Approved Supervising Manager resigns or otherwise stops acting as the Approved Supervising Manager before the completion of the divestiture of the Karingal Hub Divestiture Property.
- 9.14 The ACCC may revoke an Approved Supervising Manager's status as the Approved Supervising Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

- 9.15 The ACCC may approve any proposal by, or alternatively may direct, Federation Centres and Federation Manager to terminate the appointment of the Approved Supervising Manager if in the ACCC's view the Approved Supervising Manager acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

## **10 Independent Audit**

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### **Obligation to appoint an Approved Independent Auditor**

- 10.1 Federation Centres and Federation Manager must appoint and maintain an Approved Independent Auditor to audit and report upon Federation Centres and Federation Manager's compliance with this Undertaking.

### **Process for approving a Proposed Independent Auditor**

- 10.2 At least 15 Business Days before the Control Date, Federation Centres and Federation Manager must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 10.3 If clause 10.16, 10.17 or 10.18 applies, Federation Centres and Federation Manager must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 10.8 applies.
- 10.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 10.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
  - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Federation Centres and Federation Manager;
  - (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
  - (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

### **Appointment of the Approved Independent Auditor**

- 10.6 After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, Federation Centres and Federation Manager must by the Control Date:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
  - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

### **Failure to appoint**

10.7 If the Approved Independent Auditor has not been appointed:

- (a) by the Control Date;
- (b) within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clauses 10.16, 10.17 or 10.18; or
- (c) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 10.3;

then the provisions of clause 10.8 apply.

10.8 If clause 10.3 or 10.7 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
- (b) direct Federation Centres and Federation Manager to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

### **Obligations and powers of the Approved Independent Auditor**

10.9 Federation Centres and Federation Manager must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:

- (a) maintain his or her independence from Federation Centres and Federation Manager, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in part 2(c) of Schedule 3 to this Undertaking with Federation Centres and Federation Manager for the period of his or her appointment;
- (b) conduct compliance auditing according to the Approved Audit Plan;
- (c) provide the following reports directly to the ACCC:
  - (i) a scheduled written Audit Report as described in clauses 10.11 and 10.12; and
  - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
- (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

10.10 Federation Centres and Federation Manager must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:

- (a) access the facilities, sites or operations of the Karingal Hub Divestiture Property and of Federation Centres' head office as required by the Approved Independent Auditor;

- (b) access any information or documents that the Approved Independent Auditor considers reasonably necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
- (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

#### **Compliance Audit**

10.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:

- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
- (b) a full audit of Federation Centres' and Federation Manager's compliance with this Undertaking;
- (c) identification of any areas of uncertainty or ambiguity in the Auditor's interpretation of any obligations contained in this Undertaking;
- (d) all of the reasons for the conclusions reached in the Audit Report;
- (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
- (f) any recommendations by the Approved Independent Auditor to improve:
  - (i) the Approved Audit Plan;
  - (ii) the integrity of the auditing process;
  - (iii) Federation Centres' or Federation Manager's processes or reporting systems in relation to compliance with this Undertaking; and
  - (iv) Federation Centres' or Federation Manager's compliance with this Undertaking; and
- (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.

10.12 The Approved Independent Auditor is to provide an Audit Report to the ACCC, Federation Centres and Federation Manager at the following times:

- (a) within 10 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);
- (b) every month from the date of the Establishment Audit until one month after the divestiture of the Karingal Hub Divestiture Property or the Bayside Divestiture Property (as the case may be) is completed;

- (c) every three months after the date of provision of the last Audit Report pursuant to clause 10.12(b), until the ACCC confirms in writing to Federation Centres and Federation Manager that it is satisfied that Federation Centres and Federation Manager have fulfilled their obligations pursuant to this Undertaking; and
  - (d) a final report due three months after the last report provided pursuant to clause 10.12(c).
- 10.13 Federation Centres and Federation Manager must implement any recommendations made by the Approved Independent Auditor in Audit Reports, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 10.14 Federation Centres must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such longer period as agreed with the ACCC).

**Federation Centres' and Federation Manager's obligations in relation to the Approved Independent Auditor**

- 10.15 Without limiting their obligations in this Undertaking, Federation Centres and Federation Manager must:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
  - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
    - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
    - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor;
  - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
    - (i) directing Federation Centres and Federation Manager personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 10;
    - (ii) providing access to the facilities, sites or operations of the Karingal Hub Divestiture Property and the head office of Federation Centres as required by the Approved Independent Auditor;
    - (iii) providing to the Approved Independent Auditor any information or documents he or she considers reasonably necessary for carrying out his or her functions as the

- Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
  - (v) not appointing the Approved Independent Auditor, or having any agreements, with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

#### **Resignation or termination of the Approved Independent Auditor**

- 10.16 Federation Centres and Federation Manager must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 10.17 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 10.18 The ACCC may approve any proposal by, or alternatively may direct, Federation Centres or Federation Manager to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

### **11 Failure to divest the Divestiture Property within the Initial Sale Period**

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#### **Divestiture of the Unsold Property**

- 11.1 In the event that:

- (a) the divestiture of the Karingal Hub Divestiture Property to an Approved Purchaser is not completed by the end of the Initial Sale Period; or
- (b) the divestiture of the Bayside Divestiture Property to a purchaser approved by the ACCC is not completed by the end of the Initial Sale Period,

Federation Centres and Federation Manager must immediately elect by notice in writing to the ACCC whether the Karingal Hub Divestiture Property or the Bayside Divestiture Property will be the Unsold Property to be divested by the Approved Divestiture Agent and the provisions of this clause 11 apply.

#### **Obligation to appoint an Approved Divestiture Agent**

- 11.2 From the end of the Initial Sale Period until the completion of the sale of the Unsold Property, Federation Centres and Federation Manager must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Property.

#### **Process for approving a Proposed Divestiture Agent**

- 11.3 At least 15 Business Days prior to the end of the Initial Sale Period, if the divestiture of the Karingal Hub Divestiture Property has not been completed or the divestiture of the Bayside Divestiture Property has not been completed, Federation Centres and Federation Manager must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 3 to this Undertaking (**Proposed Divestiture Agent Notice**) including draft terms of appointment, a draft property sale agreement, and draft marketing and sale plan.
- 11.4 If clauses 11.14, 11.15 or 11.16 apply, Federation Centres and Federation Manager must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days after the relevant event occurs, otherwise clause 11.9 applies.
- 11.5 The ACCC shall have the discretion to approve or reject in writing the Proposed Divestiture Agent.
- 11.6 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Divestiture Agent, the factors to which the ACCC may have regard include whether:
- (a) the person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
  - (b) the person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Federation Centres and Federation Manager;
  - (c) the terms of appointment, draft property sale agreement and draft marketing and sale plan are consistent with this Undertaking and the Novion Undertaking; and
  - (d) the terms of appointment, draft property sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.

#### **Appointment of the Approved Divestiture Agent**

- 11.7 After receiving written notice from the ACCC of its approval of the Proposed Divestiture Agent, the draft terms of appointment, the draft business sale agreement and draft marketing and sale plan, Federation Centre and Federation Manager must, within two Business Days:
- (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
  - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

#### **Failure to appoint**

- 11.8 If the Approved Divestiture Agent has not been appointed:
- (a) within 10 Business Days after the end of the Initial Sale Period;
  - (b) within 15 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clauses 11.14, 11.15 or 11.16; or
  - (c) if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 11.4;

then the provisions of clause 11.9 apply.

11.9 If clause 11.8 applies, the ACCC may, at its absolute discretion:

- (a) identify and approve a person as the Approved Divestiture Agent, including approving the draft terms of appointment of the Approved Divestiture Agent, draft business sale agreement and draft marketing and sale plan; and/or
- (b) direct Federation Centres and Federation Manager to appoint a person who the ACCC has deemed is an Approved Divestiture Agent.

#### **Obligations and powers of the Approved Divestiture Agent**

11.10 Federation Centres and Federation Manager must procure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Divestiture Agent to:

- (a) divest the Unsold Property only to an Approved Purchaser;
- (b) comply with any obligations in Part 2 of Confidential Schedule 5;
- (c) maintain his or her independence from Federation Centres and Federation Manager, apart from appointment to the role of Approved Divestiture Agent, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Federation Centres and Federation Manager for the period of his or her appointment;
- (d) not use any confidential information gained through the divestiture of the Unsold Property other than for performing his or her functions as Approved Divestiture Agent;
- (e) follow the Approved Marketing and Sale Plan;
- (f) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Property as quickly as possible using the Approved Property Sale Agreement;
- (g) co-operate with the requests of the Approved Independent Auditor appointed pursuant to this Undertaking and the approved independent auditor appointed pursuant to the Novion Undertaking;
- (h) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
  - (i) information regarding the implementation of the Approved Property Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
  - (ii) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
  - (iii) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;

- (iv) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 11.11(d));
    - (v) the efforts made to sell the Unsold Property;
    - (vi) the identity of any advisers engaged;
    - (vii) the identity of any persons expressing interest in the Unsold Property; and
    - (viii) any other information required by the ACCC;
  - (i) within 30 Business Days after the completion of the divestiture of the Unsold Property, provide a written report directly to the ACCC which includes a final accounting of:
    - (i) any moneys derived from the divestiture of the Unsold Property;
    - (ii) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
    - (iii) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 11.11(d));
  - (j) immediately inform the ACCC of:
    - (i) any issues that arise in relation to the implementation of the Approved Property Sale Agreement and any Approved Marketing and Sale Plan;
    - (ii) non-compliance with this Undertaking by any person named in the Undertaking;
    - (iii) non-compliance with the Novion Undertaking by any person named in the Novion Undertaking;
    - (iv) any offers for the Unsold Property;
  - (k) accept any offer for the Unsold Property upon instruction from Federation Centres and Federation Manager given in accordance with clause 11.13(d); and
  - (l) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
- 11.11 Federation Centres and Federation Manager must procure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (a) negotiate with purchasers to divest the Unsold Property on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
  - (b) execute any agreements with the Approved Purchaser required pursuant to clause 6 of this Undertaking or clause 6 of the Novion Undertaking;
  - (c) upon instruction pursuant to clause 11.13(d), complete the divestiture of the Unsold Property to the Approved Purchaser in accordance with the Approved Property Sale Agreement; and

- (d) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
- 11.12 Any irrevocable power of attorney granted pursuant to clause 11.11 will end upon resignation or termination of the Approved Divestiture Agent in accordance with clause 11.14, 11.15 or 11.16 or in the event that the Unsold Property is divested in accordance with this Undertaking.

**Federation Centres' and Federation Manager's obligations in relation to the Approved Divestiture Agent**

- 11.13 Without limiting its obligations in this Undertaking, Federation Centres and Federation Manager must, from the end of the Initial Sale Period:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;
  - (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
    - (i) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
    - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
    - (iii) paying such fees as are agreed between the Approved Divestiture Agent and Federation Centres and Federation Manager (but not fees contingent on the price to be obtained for the Unsold Property); and
    - (iv) if an agreement as to fees cannot be reached between the Approved Divestiture Agent and Federation Centres and Federation Manager within 15 Days after the end of the Initial Sale Period, Federation Centres and Federation Manager agrees to pay such fees as are directed by the ACCC;
  - (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
    - (i) directing its respective personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 11;
    - (ii) providing access to the facilities, sites or operations of the Unsold Property as required by the Approved Divestiture Agent; and
    - (iii) providing to the Approved Divestiture Agent any information, documents or other assistance he or she considers reasonably necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC.

- (d) within three Business Days after receiving notice from the ACCC pursuant to clause 7.5, Federation Centres and Federation Manager must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Property to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 7.5; and
- (e) other than in accordance with clause 11.13(d), not instruct the Approved Divestiture Agent to sell the Unsold Property.

#### **Resignation or termination of the Approved Divestiture Agent**

- 11.14 Federation Centres and Federation Manager must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the divestiture of the Unsold Property.
- 11.15 The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 11.16 The ACCC may approve any proposal by, or alternatively may direct, Federation Centres and Federation Manager to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

#### **12 Notification of key dates and ACCC requests for information**

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- 12.1 Federation Centres and Federation Manager must notify the ACCC and each Undertaking Appointment in writing of:
  - (a) the anticipated date of the Control Date, at least five Business Days before that date;
  - (b) the anticipated date of the completion of the divestiture of the Karingal Hub Divestiture Property or the Unsold Property, at least five Business Days before that date;
  - (c) the occurrence of the Control Date, within one Business Day of that date; and
  - (d) the occurrence of the completion of the divestiture of the Karingal Hub Divestiture Property or the Unsold Property, within one Business Day of that date.
- 12.2 The ACCC may direct Federation Centres and Federation Manager in respect of their compliance with this Undertaking to, and Federation Centres and Federation Manager must:
  - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
  - (b) produce documents and materials to the ACCC within Federation Centres' or Federation Manager's custody, power or control in the time and in the form requested by the ACCC; and/or
  - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.3 Any direction made by the ACCC under clause 12.2 will be notified to Federation Centres and Federation Manager, in accordance with clause 17.2 and 17.3.

- 12.4 In respect of Federation Centres' and Federation Manager's compliance with this Undertaking or an Undertaking Appointment's compliance with their Approved Terms of Appointment, the ACCC may request the Undertaking Appointment to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
  - (b) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
  - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.5 Federation Centres and Federation Manager will use their best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 12.4.
- 12.6 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 12 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 12.7 The ACCC may in its discretion to be exercised in good faith:
- (a) Advise any Undertaking Appointment of any request made by it under this clause 12; and/or
  - (b) provide copies any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 12.
- 12.8 Nothing in this clause 12 requires the provision of information or documents in respect of which Federation Centres or Federation Manager has a claim of legal professional or other privilege.

### **13 Disclosure of the Undertaking**

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- 13.1 Federation Centres, Federation Manager and the ACCC agree that Schedule 5 will remain confidential until after the completion of the divestiture of the Karingal Hub Divestiture Property, the Bayside Divestiture Property (as the case may be) or the Unsold Property.
- 13.2 Federation Centres and Federation Manager acknowledge that the ACCC may provide each Undertaking Appointment with a copy of this Undertaking which includes unredacted versions of Schedule 5.
- 13.3 Federation Centres and Federation Manager acknowledge that the ACCC may, subject to clause 13.1:
- (a) make this Undertaking publicly available;
  - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
  - (c) from time to time publicly refer to this Undertaking.
- 13.4 Nothing in clause 13.1 or the confidential parts of this Undertaking referred to in clause 13.1 prevents the ACCC from disclosing such information as is:

- (a) required by law;
  - (b) permitted by s 155AAA of the Act;
  - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
  - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 13.5 Nothing in clause 13.1 or the confidential parts of this Undertaking referred to in clause 13.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

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**14 Obligation to procure**

- 14.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Federation Centres or Federation Manager to take or refrain from taking some action, Federation Centres or Federation Manager (as applicable) will procure that Related Body Corporate to take or refrain from taking that action.

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**15 No Derogation**

- 15.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Federation Centres or Federation Manager of any term of the Undertaking.
- 15.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Federation Centres or Federation Manager does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

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**16 Costs**

- 16.1 Federation Centres and Federation Manager must pay all of their own costs incurred in relation to this Undertaking.

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**17 Notices**

**Giving Notices**

- 17.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: [mergers@accc.gov.au](mailto:mergers@accc.gov.au)  
Attention: Executive General Manager  
Merger and Authorisation Review Division

With a copy sent to:  
[mergersucu@accc.gov.au](mailto:mergersucu@accc.gov.au)  
Attention: Director, Undertaking Compliance Unit  
Coordination and Strategy Branch  
Merger and Authorisation Review Division

17.2 Any notice or communication to Federation Centres pursuant to this Undertaking must be sent to:

Name: Carolyn Reynolds  
Address: Level 28, 35 Collins Street Melbourne VIC 3000  
Email Address: [carolyn.reynolds@federationcentres.com.au](mailto:carolyn.reynolds@federationcentres.com.au)  
Fax number: +61 3 9236 6301  
Attention: Carolyn Reynolds

17.3 Any notice or communication to Federation Manager pursuant to this Undertaking must be sent to:

Name: Carolyn Reynolds  
Address: Level 28, 35 Collins Street Melbourne VIC 3000  
Email Address: [carolyn.reynolds@federationcentres.com.au](mailto:carolyn.reynolds@federationcentres.com.au)  
Fax number: +61 3 9236 6301  
Attention: Carolyn Reynolds

17.4 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

17.5 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

#### **Change of contact details**

17.6 Federation Centres and Federation Manager must notify the ACCC of a change to their contact details within three Business Days.

17.7 Any notice or communication sent to the most recently advised contact details and subject to clause 17.4 and 17.5, will be taken to be received.

### **18 Defined terms and interpretation**

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#### **Definitions in the Dictionary**

18.1 A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

#### **Interpretation**

18.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Federation Limited (ABN 90 114 757 783) pursuant to section 127(1) of the Corporations Act 2001 by:

Signature of director

Tim Hammon

Name of director (print)

Date:

20/5/15

Signature of company secretary

Elizabeth Hourigan

Name of company secretary (print)

Date:

20 May 2015

Executed by Federation Centres Limited (ABN 88 149 781 322) pursuant to section 127(1) of the Corporations Act 2001 by:

Signature of director

Tim Hammon

Name of director (print)

Date:

20/5/15

Signature of company secretary

Elizabeth Hourigan

Name of company secretary (print)

Date:

20 May 2015

Executed by Federation Manager Ltd (ABN 69 051 908 984) pursuant to section 127(1) of the Corporations Act 2001 by:

Signature of director

Tim Hammon

Name of director (print)

Date:

20/5/15

Signature of company secretary

Elizabeth Hourigan

Name of company secretary (print)

Date:

20 May 2015

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the Competition and Consumer Act 2010 on:

And signed on behalf of the Commission:

Chairman

Date

20 May 2015

Date

21 May 2015

## Schedule 1

### 1 Dictionary

**ACCC** means the Australian Competition and Consumer Commission.

**Act** means the *Competition and Consumer Act 2010 (Cth)*.

**Agreements** means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

**Approved Audit Plan** means the plan approved by the ACCC in accordance with the terms of this Undertaking by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

**Approved Divestiture Agent** means the person approved by the ACCC and appointed under clause 11 of this Undertaking.

**Approved Independent Auditor** means the person approved by the ACCC and appointed under clause 10 of this Undertaking.

**Approved Management Plan** means the plan approved by the ACCC under clause 9.3 in accordance with the terms of this Undertaking, by which the Approved Supervising Manager will manage and operate the Karingal Hub Divestiture Property independently of Federation Centres' and Federation Manager's retained properties, to the maximum extent practicable.

**Approved Marketing and Sale Plan** means the plan approved by the ACCC in accordance with the terms of this Undertaking by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Property.

**Approved Property Sale Agreement** means the contract for the divestiture of the Karingal Hub Divestiture Property or Unsold Property which has been approved by the ACCC in accordance with the terms of this Undertaking.

**Approved Purchaser** means the person approved by the ACCC under clause 7.4 or 7.5 to this Undertaking.

**Approved Separation and Management Plan** means the plan approved by the ACCC under clause 9.3 in accordance with the terms of this Undertaking by which the Approved Supervising Manager will:

- (a) separate the Karingal Hub Divestiture Property from any properties to be retained by Federations Centres; and
- (b) manage and operate the Karingal Hub Divestiture Property independently of Federation Centres and Federation Manager and any retained properties.

**Approved Supervising Manager** means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

**Approved Terms of Appointment** means the terms of appointment for the Approved Supervising Manager, Independent Auditor or Approved Divestiture Agent, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

**Approved Transitional Supply Agreement** means any agreement for the supply of services by Federation Centres and/or Federation Manager to the Approved Purchaser, approved by the ACCC in accordance with the terms of this Undertaking.

**Associated Entity** has the meaning given by section 50AAA of the *Corporations Act 2001* (Cth).

**Audit Report** has the meaning given in clause 10.11 of this Undertaking.

**Bayside Divestiture Property** is defined in the Novion Undertaking.

**Business Day** means a day other than a Saturday or Sunday on which banks are open for business generally in Victoria.

**Commencement Date** means the date described in clause 3.1 of this Undertaking.

**Consents** means any Government Consents or Third Party Consents.

**Control Date** means the date on which the Proposed Transaction is completed.

**Corporations Act** means the *Corporations Act 2001* (Cth).

**Co-Owners' Agreement** means the co-owners agreement between Federation Manager as trustee for the Karingal Trust No 1 and the Karingal Trust No. 2 and ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273) dated 31 July 2013 which governs the terms and conditions on which the parties co-own Karingal Hub.

**Co-Ownership Agreements** means the agreements between Federation Manager as trustee for the Karingal Trust No 1 and the Karingal Trust No. 2 and ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273) which govern the terms and conditions on which the parties co-own Karingal Hub Shopping Centre, including the Co-Owners' Agreement, the Property Management Services Agreement and the Development Management Services Agreement.

**Entities Connected** has the meaning given by section 64B of the *Corporations Act 2001* (Cth).

**Establishment Audit** has the meaning given to it in clause 10.12 to this Undertaking.

**Federation Centres** has the meaning given to it in clause 1.2 to this Undertaking.

**Federation Manager** has the meaning given to it in clause 1.2 to this Undertaking.

**Government Consents** means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the operation of the Karingal Hub Divestiture Property.

**Initial Sale Period** is defined in part 1 of Confidential Schedule 5 to this Undertaking.

**Karingal Hub Divestiture Property** means Federation Centres' and Federation Manager's interest in all assets and interests described in Schedule 4 to this Undertaking.

**Karingal Hub Centre Manager** is the centre manager of Karingal Hub Shopping Centre deployed by the Karingal Hub Manager in relation to the Karingal Hub Divestiture Property as at the Commencement Date or such other person that is approved by the ACCC to manage and/or carry out the day to day operations of the Karingal Hub Manager in relation to the Karingal Hub Divestiture Property.

**Karingal Hub Manager** is the property manager appointed by Federation Manager and ISPT Pty Ltd pursuant to the Co-Owners' Agreement.

**Karingal Hub Transferred Personnel** has the meaning given to it in clause 6.8 of the Undertaking.

**Material Change** means any change to the structure, attributes, extent or operations of the Karingal Hub Divestiture Property that may affect, or impact on, the competitiveness of the Karingal Hub Divestiture Property.

**Novion Undertaking** means the section 87B undertaking provided by Novion to the ACCC relating to the divestiture of the Bayside Shopping Centre, a copy of which is at Schedule 6 of this Undertaking.

**Proposed Divestiture Agent** means a person named in a Proposed Divestiture Agent Notice.

**Proposed Divestiture Agent Notice** has the meaning given to it in clause 11.3 of this Undertaking.

**Proposed Independent Auditor** means a person named in a Proposed Independent Auditor Notice.

**Proposed Independent Auditor Notice** has the meaning given to it in clause 10.2 of this Undertaking.

**Proposed Purchaser** means a person named in a Proposed Purchaser Notice.

**Proposed Purchaser Notice** has the meaning given to it in clause 7.1 of this Undertaking.

**Proposed Supervising Manager** means a person named in a Proposed Supervising Manager Notice.

**Proposed Supervising Manager Notice** has the meaning given to it in clause 9.4 of this Undertaking.

**Proposed Transaction** is defined in clause 2.10 of this Undertaking.

**Public Mergers Register** means the ACCC's public register of merger clearances, available at [www.accc.gov.au](http://www.accc.gov.au).

**Public Section 87B Undertakings Register** means the ACCC's public register of section 87B undertakings, available at [www.accc.gov.au](http://www.accc.gov.au).

**Related Bodies Corporate** has the meaning given by section 4A of the Act.

**Related Entities** has the meaning given by section 9 of the *Corporations Act 2001* (Cth).

**Related Parties** has the meaning given by section 228 of the *Corporations Act 2001* (Cth).

**Third Party Consents** means any consents from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the operation of the Karingal Hub Divestiture Property.

**Undertaking** is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

**Undertaking Appointment** means the Approved Supervising Manager, the Approved Independent Auditor or the Approved Divestiture Agent, as applicable.

**Unsold Property** is defined in clause 11.1 of the Undertaking.

## **2 Interpretation**

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
  - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the ACCC's competition concerns intended to be addressed by the Undertaking and the clause in question; or

- (ii) determine the meaning of a clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
  - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
  - (ii) the need to ensure that the result of the Undertaking is to completely address any of the ACCC's competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Federation Centres will do everything within their power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
  - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
  - (ii) a party includes its successors and permitted assigns; and
  - (iii) a monetary amount is in Australian dollars.

## **Schedule 2 — Proposed Purchaser Notice Form**

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

### **Email**

Subject line: Proposed Purchaser Notice — Federation Centres undertaking

Address: [mergers@accc.gov.au](mailto:mergers@accc.gov.au)

Attention: Executive General Manager – Mergers and Authorisation Review Division

With an email copy sent to:

Address: [mergersucu@acce.gov.au](mailto:mergersucu@acce.gov.au)

Attention: Director, Undertaking Compliance Unit Merger Coordination and Strategy Brand, Merger and Authorisation Review Division

1. In relation to the Proposed Purchaser, please provide the following information:
  - (a) Name of the Proposed Purchaser:
  - (b) Address:
  - (c) Contact name:
  - (d) Telephone number:
  - (e) Other contact details:
2. Please attach a submission containing the following information to this form:
  - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
  - (b) details of the Proposed Purchaser's experience in the relevant market/s;
  - (c) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Purchaser;
  - (d) details of any of the following types of relationships between Federation Centres, Federation Manager or Novion and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
    - (i) Federation Centres, Federation Manager or Novion and the Proposed Purchaser are Associated Entities;
    - (ii) Federation Centres, Federation Manager or Novion is an Entity Connected with the Proposed Purchaser;
    - (iii) the Proposed Purchaser is an Entity Connected with Federation Centres, Federation Manager or Novion;
    - (iv) Federation Centres, Federation Manager or Novion and the Proposed Purchaser are Related Entities;

- (v) Federation Centres, Federation Manager or Novion and the Proposed Purchaser are Related Parties;
  - (vi) any Related Party, Related Entity or Entity Connected with Federation Centres, Federation Manager or Novion is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
  - (vii) Federation Centres, Federation Manager or Novion and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
  - (viii) the Proposed Purchaser is a supplier of Federation Centres, Federation Manager or Novion or has been in the past three years;
  - (ix) Federation Centres, Federation Manager or Novion is a supplier of the Proposed Purchaser or has been in the past three years; and
  - (x) any other relationship between Federation Centres, Federation Manager or Novion and the Proposed Purchaser that allows one to affect the business decisions of the other.
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of Federation Centres or Federation Manager:
- (i) whether the draft property sale agreement is consistent with this Undertaking;
  - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft property sale agreement;
  - (iii) whether the Proposed Purchaser is of good financial standing;
  - (iv) whether the Proposed Purchaser has an intention to maintain and operate the Karingal Hub Divestiture Property or the Unsold Property as a going concern;
  - (v) whether the Proposed Purchaser is able to conduct the Karingal Hub Divestiture Property or the Unsold Property effectively or intends to appoint a suitably qualified person to conduct the Karingal Hub Divestiture Property or the Unsold Property effectively; and
  - (vi) whether the divestiture of the Karingal Hub Divestiture Property or the Unsold Property to the Proposed Purchaser will address any competition concerns of the ACCC, including any relationships (including but not limited to shareholding interests, other proprietary interests, contracts, arrangements or understandings) between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Karingal Hub Divestiture Property or the Unsold Property under the ownership of the Proposed Purchaser; and
  - (vii) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire or operate the Karingal Hub Divestiture Property or the Unsold Property, such as outstanding legal action or disputes.

3. Please also attach to this form:

- (a) the finalised draft of the property sale agreement for approval by the ACCC in accordance with this Undertaking;
- (b) the finalised draft of any transitional supply agreement for approval by the ACCC in accordance with this Undertaking; and
- (c) any documents required to support the information provided by Federation Centres and Federation manager pursuant to this form.

### Schedule 3 — Undertaking Appointment Form

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- Supervising Manager;
- Independent Auditor; or
- Divestiture Agent.

(the **Undertaking Appointments**)

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

#### Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line *(proposed* [only include relevant Undertaking Appointment i.e. Independent Auditor/Divestiture Agent/Supervising Manager] *Form — Federation Centres undertaking to the below email addresses:*

- 1)               mergers@accc.gov.au  
                  Attention: Executive General Manager  
                  Mergers and Authorisation Review Division
- 2)               **With a copy sent to:**  
                  mergersucu@accc.gov.au  
                  Attention: Director  
                  Undertaking Compliance Unit  
                  Coordination and Strategy Branch  
                  Mergers and Authorisation Review Division

#### Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor, Divestiture Agent or Supervising Manager (i.e. the relevant Undertaking Appointment).

1.     Proposed Undertaking Appointment Details:
  - (a)    the name of the proposed Undertaking Appointment; and
  - (b)    the name of the proposed Undertaking Appointment's employer, details of the position in which the Undertaking Appointment is currently employed, and contact details including:
    - Address
    - Contact name
    - Telephone number
    - Other contact details.

2. A submission containing the following information:
- (a) details of the Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking;
  - (b) the names of the [owner/s and the directors (delete any that do not apply)] of [the Undertaking Appointment's employer];
  - (c) details of any of the following types of relationships between Federation Centres or Federation Manager and the Undertaking Appointment or the Undertaking Appointment's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
    - (i) Federation Centres or Federation Manager and the Undertaking Appointment's employer are Associated Entities;
    - (ii) Federation Centres or Federation Manager is an Entity Connected with the Undertaking Appointment's employer;
    - (iii) The Undertaking Appointment's employer is an Entity Connected with Federation Centres or Federation Manager;
    - (iv) Federation Centres or Federation Manager and the Undertaking Appointment's employer are Related Entities;
    - (v) Federation Centres or Federation Manager and the Undertaking Appointment's employer are Related Parties;
    - (vi) any Related Party, Related Entity or Entity Connected with Federation Centres or Federation Manager is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment;
    - (vii) Federation Centres or Federation Manager and [the Undertaking Appointment] or the Undertaking Appointment's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
    - (viii) the Undertaking Appointment's employer is a supplier of Federation Centres or Federation Manager or has been in the past three years;
    - (ix) Federation Centres or Federation Manager is a supplier of the Undertaking Appointment's employer or has been in the past three years and
    - (x) any other relationship between Federation Centres or Federation Manager and the Undertaking Appointment or the Undertaking Appointment's employer that allows one to affect the business decisions of the other.
3. A document outlining the terms of appointment of the proposed Undertaking Appointment.

#### **Specific Information required for Undertaking Appointments**

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

#### **Proposed Independent Auditor**

1. A finalised draft audit plan for the Karingal Hub Divestiture Property, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

**Proposed Divestiture Agent**

1. The finalised draft property sale agreement drafted by the Proposed Divestiture Agent in consultation with Federation Centres. The draft property sale agreement is to provide for the divestiture of the Unsold Property.
2. The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Property.

**Proposed Supervising Manager**

1. The finalised draft separation and management plan for the Karingal Hub Divestiture Property detailing the measures and timing to be implemented by Federation Centres, Federation Manager and the Approved Supervising Manager in order to fulfil Federation Centres', Federation Manager's and the Approved Supervising Manager's obligations pursuant to this Undertaking. This plan is to be drafted by the Proposed Supervising Manager in consultation with Federation Centres and Federation Manager to achieve the objectives of the Undertaking including:
  - (a) the intended mode of operation of the Karingal Hub Divestiture Property until completion of its divestiture;
  - (b) separation measures to ensure the Karingal Hub Divestiture Property is operated in a manner which is, to the maximum extent practicable, operationally separate from Federation Centres' and Federation Manager' retained properties;
  - (c) details of contracts for the provision of goods or services to the Divestiture Business which will expire after the completion of the divestiture of the Divestiture Business to the Approved Purchaser and the actions which will be taken to ensure they are replaced, renewed and/or renegotiated on commercial terms favourable to the Divestiture Business;
  - (d) personnel planning to maintain appropriate personnel levels and ensure that the Karingal Hub Divestiture Property has access to all personnel necessary to operate the Karingal Hub Divestiture Property;
  - (e) any Material Changes to the Karingal Hub Divestiture Property required in order to fulfil Federation Centres', Federation manager's and the Approved Supervising Manager's obligations pursuant to the Undertaking;
  - (f) the cooperation required from the Supervising Manager with Federation Centres and Federation Manager in relation to the divestiture of the Karingal Hub Divestiture Property, including the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Karingal Hub Divestiture Property will be managed.

#### **Schedule 4 - Karingal Hub Divestiture Property**

The Karingal Hub Divestiture Property comprises Federation Centres' and Federation Manager's 50 per cent interest in the following assets (and all interests therein):

- 1 Karingal Hub Shopping Centre, being the whole of the land comprised in Certificate of Title Volume 11446 Folio 149;
- 2 Karingal Entertainment Centre, being the whole of the land comprised in Certificate of Title Volume 11446 Folio 149;

together with (in relation to each of Karingal Hub Shopping Centre and Karingal Entertainment Centre as applicable) all:

- buildings, plant and equipment and other improvements;
- contracts including services agreements;
- permits and licences granted by government agencies and necessary for the ownership and operation of the relevant property;
- agreements for the leasing and/or hiring of plant and equipment;
- records including books, turnover records, plans and drawings;
- tenancy agreements, leases and licences; and all ancillary agreements to which Federation Centres (or a related body corporate) is a party or lessee.

**Schedule 5 – Confidential**

**Part 1**

\_\_\_\_\_

|

**Part 2**

\_\_\_\_\_

**Schedule 6 – section 87B undertaking given by Novion to the ACCC**

Undertaking to the Australian Competition and  
Consumer Commission

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Given under section 87B of the *Competition and  
Consumer Act 2010* by Novion RE Limited and  
Novion Limited

## **1 Person giving the Undertaking**

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- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by:
- (a) Novion RE Limited (ABN 33 084 098 180) in its capacity as responsible entity of Novion Trust; and
  - (b) Novion Limited (ABN 79 167 087 363).
- 1.2 In this Undertaking, Novion Limited and Novion RE Limited in its capacity as responsible entity of Novion Trust are together referred to as **Novion**. Federation Limited (ABN 90 114 757 783) and Federation Centres Limited (ABN 88 149 781 322) in its capacity as responsible entity of Federation Centres Trust No. 1 are together referred to as **Federation Centres**. Federation Manager Ltd (ABN 69 051 908 984) is referred to as **Federation Manager**.

## **2 Background**

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### **The Parties to the Proposed Transaction**

#### *Federation Centres*

- 2.1 Federation Centres owns, develops and manages shopping centres in Australia.
- 2.2 In the South East Melbourne area, Federation Centres indirectly holds
- (a) a 50 per cent interest in Karingal Hub Shopping Centre and a 50 percent interest in Karingal Entertainment Centre (together, Karingal Hub).
- 2.3 The ownership structure for Karingal Hub Shopping Centre is as follows:
- (a) 50 per cent is held directly by Federation Manager Ltd (ABN 69 051 908 984) as the trustee of Karingal Trust No. 1 (ABN 77 236 953 143); and
  - (b) 50 per cent is held directly by ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273).
- 2.4 The ownership structure of Karingal Entertainment Centre is as follows:
- (a) 50 per cent is held directly by Federation Manager Ltd (ABN 69 051 908 984) as the trustee of and Karingal Trust No. 2 (ABN 17 559 520 826); and
  - (b) 50 per cent is held directly by ISPT Pty Ltd (ACN 064 041 283) as trustee for the ISPT Karingal Shopping Centre Trust (ABN 14 113 009 273).
- 2.5 Karingal Trust No. 1 and Karingal Trust No. 2 are wholly owned by Federation Centres Trust No. 1.
- 2.6 Karingal Hub is located approximately 4.3km from the Frankston CBD and comprises a shopping centre (Karingal Hub Shopping Centre) and a separate entertainment precinct (Karingal Entertainment Centre). Karingal Hub is classified as a sub-regional centre in that it has at least one discount department store (Karingal Hub has two discount department stores), at least one major supermarket (Karingal Hub has two supermarkets) and a range of specialty

shops. Karingal Hub Shopping Centre and Karingal Entertainment Centre are managed together as one centre.

#### *Novion*

- 2.7 Novion owns, develops and manages shopping centres in Australia.
- 2.8 In the South East Melbourne area, Novion holds a 100 per cent interest in the Bayside Shopping Centre (**Bayside**).
- 2.9 Bayside is a regional shopping centre situated in the heart of Frankston, approximately 40 km south of Melbourne's CBD. The centre is anchored by Myer, Coles, Target, Safeway, Kmart, Aldi, Rebel Sport, Toys "R" Us, Best & Less, Country Road and Hoyts Cinema, and includes more than 250 specialty stores. Bayside is classified as a regional centre in that it has at least 25,000 square metres (**sqm**) of gross lettable area (**GLA**) and at least one department store or discount department store with a minimum of 10,000 sqm GLA.

#### **The Proposed Transaction**

- 2.10 Federation Centres has entered into a Merger Implementation Agreement dated 3 February 2015 with Novion in respect of Federation Centres' proposed acquisition of Novion via a company scheme of arrangement and a trust scheme (the **Proposed Transaction**).
- 2.11 Federation Centres and Novion have sought informal merger clearance from the ACCC.

#### **The ACCC's review**

- 2.12 On 4 February 2015, the ACCC commenced its public review of the Proposed Transaction.
- 2.13 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Transaction, industry participants and others. The purpose of the ACCC's inquiries was to assess whether the Proposed Transaction would have the effect or be likely to have the effect, of substantially lessening competition in a market in contravention of section 50 of the Act.

#### **The ACCC's competition concerns**

- 2.14 The ACCC has concluded that, in the absence of the Undertaking, the Proposed Transaction would have the effect, or be likely to have the effect, of substantially lessening competition in relation to the supply of shopping centre amenities to customers (shoppers) in South East Melbourne. The ACCC also had competition concerns about the effect of the proposed transaction in relation to the supply of retail space in shopping centres to retailers in South East Melbourne, as set out below.
- 2.15 The ACCC considered that a starting point for assessing the impact of the Proposed Transaction in particular geographic areas was to assess the level of competition provided by alternative shopping centres within approximately 10 kilometres of any relevant overlap between shopping centres owned by Federation Centres and Novion.
- 2.16 On this basis, the ACCC's review focused on the South East Melbourne geographic region, where it considered that the Bayside shopping centre (owned by Novion) and the Karingal Hub

shopping centre (part owned by Federation Centres), were the only multi-purpose shopping centres of any significant scale within approximately 20km of the Frankston CBD. The ACCC considered that Bayside and Karingal Hub were each other's closest competitors in the supply of shopping centre amenities to customers, and in supplying retail space in shopping centres to retailers, in this geographic region and that the aggregation of these centres could result in anti-competitive effects.

*The supply of shopping centre amenities to customers in South East Melbourne*

- 2.17 The ACCC was concerned that common ownership of Bayside and Karingal Hub would have the potential to reduce the incentive of the merged entity to expand and develop Bayside and/or Karingal Hub. This was because a portion of the expected gains from any such development for each individual centre, under separate ownership, would have come from attracting customers which would otherwise visit the other centre; under common ownership this would not be regarded as an overall gain to the merged entity. This reduced incentive to expand and develop the two centres had the potential to result in reduced amenities and retail offerings being supplied to shoppers in the region when compared to the position in the absence of the Proposed Transaction.
- 2.18 The ACCC also considered that the merged entity would have had the ability and incentive to operate Bayside and Karingal Hub in a way which maximised total rental yields across the two centres. The ACCC considered that this may have involved selecting a mix of tenants which less directly overlap and compete between the two centres, which could have represented a loss of convenience and potentially price competition for shoppers in the local area.

*The supply of retail space in shopping centres to retailers in South East Melbourne*

- 2.19 The ACCC was also concerned about the possible future ability of the merged entity to extract higher rents from retailers seeking to lease space in South East Melbourne, particularly retailers relying on comparison shopping such as clothing, footwear, jewellery and gift stores. This is because of the lack of other regional and sub-regional shopping centres in the local area, and the very limited ability of retailers to substitute to other forms of retail space in the local area.

**The Undertaking remedy**

- 2.20 Novion does not consider that the Proposed Transaction would be likely to substantially lessen competition in the relevant markets. However, as part of Federation Centres' and Novion's request for informal clearance of the Proposed Transaction, and in order to address the ACCC's competition concerns, Novion has, without admission, offered this Undertaking under section 87B of the Act to divest the Bayside Divestiture Property to a purchaser approved by the ACCC, unless notice has been provided to the ACCC that the Karingal Hub Divestiture Property will be divested.
- 2.21 Federation Centres and Federation Manager have given an undertaking to the ACCC pursuant to section 87B requiring that they will divest the Karingal Hub Divestiture Property, unless notice has been provided pursuant to this Undertaking that the Bayside Divestiture Property will be divested.

2.22 The objective of this Undertaking is to address the ACCC's competition concerns as set out above that would otherwise arise as a consequence of the Proposed Transaction. The Undertaking aims to achieve this objective by placing obligations on Novion to:

- (a) ensure that the Bayside Divestiture Property is sold to an Approved Purchaser, if a relevant notice is given under this Undertaking;
- (b) create or strengthen a viable, effective, stand-alone independent and long term competitor for the supply of shopping centre amenities to customers in South East Melbourne;
- (c) ensure the purchaser of the Bayside Divestiture Property has all the necessary associated assets and rights to compete effectively with the merged entity;
- (d) maintain the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property prior to any divestiture; and
- (e) provide for the effective oversight of Novion's compliance with this Undertaking.

### **3 Commencement of this Undertaking**

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#### **Commencement**

3.1 This Undertaking comes into effect when:

- (a) this Undertaking is executed by Novion; and
- (b) this Undertaking so executed is accepted by the ACCC (the **Commencement Date**).

### **4 Ongoing application of Undertaking**

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- 4.1 A reference in this Undertaking to obligations on Federation Centres and Federation Manager that apply after the establishment of the Control Date are to be read as references to obligations on Federation Centres and Federation Manager within the merged entity.
- 4.2 References in this Undertaking to obligations on Novion that apply after the Control Date are to be read as references to obligations on Novion within the merged entity.

### **5 Cessation of ongoing obligations**

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#### **Withdrawal**

- 5.1 Novion may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.
- 5.2 For completeness, if the Proposed Transaction does not occur, then there will be no Control Date and Novion may make a written request to the ACCC for withdrawal of this Undertaking in accordance with section 87B of the Act.

### **Revocation**

- 5.3 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

### **Waiver**

- 5.4 The ACCC may, at any time, expressly waive in writing any of the obligations contained in the Undertaking or extend the date by which any such obligation is to be satisfied.

### **Survival**

- 5.5 Unless and until this Undertaking is withdrawn in accordance with clauses 5.1 or 5.2, clauses 1, 2, 3, 4, 5, 10, 12, 13, 14, 15, 16 and 17 survive completion of the obligations in clauses 6, 7, 8, 9, 11 and Schedules 4 and 5.

## **6 Divestiture of the Bayside Divestiture Property**

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- 6.1 At least 20 Business Days before the end of the Initial Sale Period, Novion must provide to the ACCC a notice in writing that the Bayside Divestiture Property will be divested, unless by that date, Federation Centres and Federation Manager have provided written notice to the ACCC that the Karingal Hub Divestiture Property will be divested.
- 6.2 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1, Novion must, in accordance with this Undertaking, divest, or cause the divestiture of, the Bayside Divestiture Property within the Initial Sale Period.
- 6.3 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1, or if the Bayside Divestiture Property is the Unsold Property, Novion must divest, or cause the divestiture of, the Bayside Divestiture Property by:
- (a) disposing of its 100% interest in the Bayside Divestiture Property only to an Approved Purchaser pursuant to the Approved Property Sale Agreement;
  - (b) the transfer or grant to the Approved Purchaser of all Consents pursuant to clauses 6.4 and 6.5;
  - (c) the transfer of any Bayside Transferred Personnel required pursuant to clauses 6.7 and 6.8;
  - (d) compliance with any Approved Transitional Supply Agreement required pursuant to clauses 6.9 to 6.11.

### **Consents**

- 6.4 Novion must:
- (a) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the sale of the Bayside Divestiture Property;
  - (b) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;

- (c) act in good faith in negotiations with the Approved Purchaser in relation to obtaining any Consents;
  - (d) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents; and
  - (e) enter an Approved Transitional Supply Agreement with the Approved Purchaser, or vary any existing Approved Transitional Supply Agreement, as required by the Approved Purchaser, in relation to any services that are required for the operation of the Bayside Divestiture Property which may be affected by any failure to gain a Consent.
- 6.5 If, seven Business Days before the expected completion of the sale of the Bayside Divestiture Property, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then Novion must:
- (a) immediately provide to the ACCC, in writing details of the:
    - (i) Consents that have not been obtained;
    - (ii) reasons why the Consents have not been obtained; and
    - (iii) information or material required to obtain the Consents.
  - (b) continue to do everything in its power to satisfy clause 6.4 as soon as possible after the completion of the divestiture of the Bayside Divestiture Property (and until such time as clause 6.4 is satisfied).
- 6.6 Even if Novion has complied with clauses 6.4 and 6.5, it remains a breach of this Undertaking if Novion is unable to effect the divestiture of the Bayside Divestiture Property by reason of a failure to obtain Consents.

#### **Transferred Personnel**

- 6.7 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1 or if the Bayside Divestiture Property is the Unsold Property, at the option of the Approved Purchaser, Novion must transfer to the Approved Purchaser:
- (a) all employees; and
  - (b) all service providers under a contract for service;
- who are, in the view of the Approved Purchaser, required for the Approved Purchaser to maintain, operate or conduct effectively the Bayside Divestiture Property and who consent to the transfer of their employment or contract for service to the Approved Purchaser (**Bayside Transferred Personnel**).
- 6.8 When fulfilling its obligations under clause 6.7, Novion must:
- (a) not directly or indirectly discourage any Bayside Transferred Personnel from any obligations to provide services to the Approved Purchaser;
  - (b) effective on the date of the divestiture of the Bayside Divestiture Property, release the Bayside Transferred Personnel from any obligations to provide services to Novion;

- (c) effective on the date of the divestiture of the Bayside Divestiture Property, release the Bayside Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Bayside Divestiture Property; and
- (d) not procure, promote or encourage the transfer of any of the Bayside Transferred Personnel from the Approved Purchaser to Novion for a period of six months after the date of completion of the sale of the Bayside Divestiture Property.

#### **Transitional Supply Agreement**

- 6.9 If Novion gives notice to divest the Bayside Divestiture Property pursuant to clause 6.1 or if the Bayside Divestiture Property is the Unsold Property, then, at the option of the Approved Purchaser, Novion must ensure the continued supply by Novion to the Approved Purchaser, under an Approved Transitional Supply Agreement, of any services that are required by the Approved Purchaser in order for the Approved Purchaser to be established as a viable, effective, stand-alone, independent and long-term competitor in the supply of shopping centre amenities to customers (shoppers) in South East Melbourne.
- 6.10 Novion must ensure that any Approved Transitional Supply Agreement and any renewal or extension of an Approved Transitional Supply Agreement:
  - (a) is for a reasonable transitional period, to be nominated by the Approved Purchaser and approved in writing by the ACCC;
  - (b) other than in relation to centre management and property management services, provides for the supply of the included services at cost price and is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms; and
  - (c) in relation to centre management and property management services, is on such terms which are no less favourable to the Approved Purchaser than arm's length terms.
- 6.11 To avoid doubt, Novion must seek prior written approval from the ACCC of any renewal or extension of an Approved Transitional Supply Agreement. Without limiting the ACCC's discretion, in making a decision on whether to approve a renewal or extension of an Approved Transitional Supply Agreement, the ACCC will have regard to the criteria set out in clauses 6.9 and 6.10.

#### **7 Process for approving a Proposed Purchaser**

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##### **Provision of a notice for a Proposed Purchaser**

- 7.1 To seek ACCC approval for a Proposed Purchaser, Novion must provide the ACCC with a Proposed Purchaser Notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**), including a draft property sale agreement and a draft transitional supply agreement (where required by the Proposed Purchaser).
- 7.2 If Novion gives notice to the ACCC to divest the Bayside Divestiture Property pursuant to clause 6.1, then the Proposed Purchaser Notice must be provided to the ACCC at least 20 Business

Days prior to the end of the Initial Sale Period. Novion may provide the ACCC with more than one Proposed Purchaser Notice.

#### **Proposed Purchaser approval**

- 7.3 After receiving a Proposed Purchaser Notice, the ACCC shall have the discretion to approve or reject in writing a Proposed Purchaser identified in the Proposed Purchaser Notice, which includes consideration of:
- (a) the draft property sale agreement attached to the Proposed Purchaser Notice; and
  - (b) any draft transitional supply agreement attached to the Proposed Purchaser Notice.
- 7.4 Without limiting the ACCC's discretion, in making the decision described in clause 7.3, the factors to which the ACCC may have regard include whether the:
- (a) draft property sale agreement is consistent with this Undertaking (or where applicable the Federation Undertaking);
  - (b) Proposed Purchaser will complete the transaction as contemplated by the draft property sale agreement;
  - (c) Proposed Purchaser is independent of, and has no direct or indirect interest in, Federation Centres, Federation Manager or Novion;
  - (d) Proposed Purchaser is of good financial standing;
  - (e) Proposed Purchaser has an intention to maintain and operate the Bayside Divestiture Property as a going concern;
  - (f) Proposed Purchaser is able to manage the Bayside Divestiture Property or intends to appoint a suitably qualified person to manage the Bayside Divestiture Property; and
  - (g) divestiture of the Bayside Divestiture Property to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Bayside Divestiture Property under the ownership of the Proposed Purchaser.
- 7.5 The ACCC may revoke an Approved Purchaser's status as an Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

#### **8 Bayside Divestiture Property protection**

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##### **Protection of the Bayside Divestiture Property**

- 8.1 From the Control Date until completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be), Novion must not:
- (a) sell or transfer its interest in, or any assets comprising part of, or used in, the Bayside Divestiture Property; or
  - (b) make any Material Change to the Bayside Divestiture Property,

except in accordance with this Undertaking or (subject to the terms of this Undertaking) as required to allow completion of the Proposed Transaction.

**Novion's obligations in relation to the Bayside Divestiture Property prior to completion of divestiture**

- 8.2 Without limiting this clause 8, Novion must, from the Control Date until completion of the divestiture of the Bayside Divestiture Property or the completion of the divestiture of the Karingal Hub Divestiture Property (as the case may be), take all steps available to it to:
- (a) ensure that the Bayside Divestiture Property is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property as at the Control Date;
  - (b) continue to provide access to working capital and sources of credit for the Bayside Divestiture Property in a manner which is consistent with the financing of the Bayside Divestiture Property before the Control Date;
  - (c) continue to provide administrative support for the Bayside Divestiture Property in a manner which is consistent with the operation of the Bayside Divestiture Property before the Control Date and in accordance with any plans established before the Control Date;
  - (d) ensure that arrangements, agreements or contracts with tenants, licencees other occupants, service providers or other third parties that are in place on the Control Date relating to the Bayside Divestiture Property continue subject to their terms and subject to any Material Change made by Novion to improve the operational efficiency of the Bayside Divestiture Property and, which are substantially and materially consistent with the Approved Management Plans;
  - (e) maintain the supply of those services that are part of the Bayside Divestiture Property to existing tenants, licencees and other occupants in a manner consistent with the supply of those services as at the Control Date;
  - (f) maintain the operational standard and quality of the Bayside Divestiture Property, and of those services that are part of the Bayside Divestiture Property, as at the Control Date; and
  - (g) carry out promotion and marketing of the assets which form part of the Bayside Divestiture Property in accordance with any plans established before the Control Date.

**Personnel of Novion**

- 8.3 From the Control Date until completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be), Novion:
- (a) must maintain existing staffing levels at the Bayside Divestiture Property;
  - (b) must not terminate the employment or engagement of any of the Bayside Transferred Personnel unless Novion appoints replacement staff with suitable qualifications and experience;
  - (c) must not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Bayside Divestiture Property as at the Control Date to any other business operated by Novion, Federation Centres, or

Federation Manager unless the Approved Purchaser has already notified Novion or the personnel concerned that it does not wish to employ or retain the personnel in the Bayside Divestiture Business after completion of the divestiture; and

- (d) must not directly or indirectly procure, promote or encourage the Approved Supervising Manager, to be subsequently engaged by any business operated by Novion or Federation Centres or Federation Manager unless the Approved Purchaser has already notified Novion or the Approved Supervising Manager that it does not wish to employ or retain the Approved Supervising Manager in the Bayside Divestiture Business after completion of the divestiture.

- 8.4 As soon as practicable after the Commencement Date, Novion must direct their personnel, including directors, contractors, managers, officers, employees and agents, not to do anything inconsistent with Novion's obligations under this Undertaking.

#### **Day to day management of the Bayside Divestiture Property**

- 8.5 Without limiting the obligations in clause 9, from the Control Date until completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be):
- (a) Novion must ensure that the Bayside Manager manages the Bayside Divestiture Property in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property at the Control Date, and is otherwise consistent with the Approved Management Plans; and
  - (b) Novion must not interfere with the authority of, or otherwise hinder, the Bayside Manager's ability to carry out its obligations as the manager of the Bayside Divestiture Property.

### **9 Management of the Bayside Divestiture Property**

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#### **Obligation to appoint an Approved Supervising Manager**

- 9.1 Novion must appoint and maintain an Approved Supervising Manager to supervise the Bayside Manager in the management and operation of the Bayside Divestiture Property, from 10 Business Days after the Control Date until the completion of the sale of the Bayside Divestiture Property or the completion of the sale of the Karingal Hub Divestiture Property (as the case may be) in accordance with this Undertaking.

#### **Process for approving a Proposed Supervising Manager in other circumstances**

- 9.2 Novion must provide the ACCC with a Proposed Supervising Manager Notice within five Business Days after the Control Date.
- 9.3 The ACCC shall have the discretion to approve or reject in writing the Proposed Supervising Manager identified in the Proposed Supervising Manager Notice.

- 9.4 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Supervising Manager, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Supervising Manager Notice or identified by the ACCC has the qualifications and experience necessary to supervise the management and operation of the Bayside Divestiture Property;
  - (b) subject to clause 9.5, the terms on which the person named in the Proposed Supervising Manager Notice or identified by the ACCC will function as the Approved Supervising Manager are sufficiently independent of Novion;
  - (c) draft terms of appointment are consistent with this Undertaking; and
  - (d) draft terms of appointment are otherwise acceptable to the ACCC.
- 9.5 For the purposes of clause 9.4(b), it will not disqualify the person named in the Proposed Supervising Manager Notice if that person is a current employee or contractor of Novion or a Related Body Corporate of Novion, provided that the role of the person will, during the term of his/her appointment as Approved Supervising Manager, involve only the supervision of the management and operation of the Bayside Divestiture Property by the Bayside Manager, and no other role with Novion, Federation Centres or Federation Manager, beyond his/her current employment and role with Novion or a Related Body Corporate of Novion.

#### **Appointment of the Approved Supervising Manager**

- 9.6 After receiving a written notice from the ACCC of its approval of the Proposed Supervising Manager and the draft terms of appointment, Novion must:
- (a) appoint the person approved by the ACCC as the Approved Supervising Manager on the Approved Terms of Appointment; and
  - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

#### **Failure to appoint**

- 9.7 If the Approved Supervising Manager has not been appointed pursuant to clause 9.3, or otherwise:
- (a) within 15 Business Days after the Control Date; or
  - (b) within 15 Business Days after the Approved Supervising Manager resigns or otherwise ceases to act as the Approved Supervising Manager pursuant to clauses 9.12, 9.13 or 9.14; or
  - (c) if the ACCC has not received a Proposed Supervising Manager Notice pursuant to clause 9.2;
- then clause 9.8 applies.
- 9.8 If clause 9.7 applies, the ACCC at its absolute discretion may:
- (a) identify and approve a person as the Approved Supervising Manager, including approving the draft terms of appointment of the Approved Supervising Manager; and/or

- (b) direct Novion to appoint a person who the ACCC has deemed is an Approved Supervising Manager.

**Obligations and powers of the Approved Supervising Manager**

- 9.9 Novion must procure that any terms of appointment for the Approved Supervising Manager include obligations on the Approved Supervising Manager to:
- (a) maintain his or her independence from Novion in the role of Approved Supervising Manager and, subject to clause 9.5, have no other role in Novion;
  - (b) act in the best interests of the Bayside Divestiture Property at all times including ensuring that the Bayside Divestiture Property is managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Bayside Divestiture Property at the Control Date consistently with the Approved Management Plans;
  - (c) not use any confidential information gained through the supervision of the management and operation of the Bayside Divestiture Property other than for performing his or her functions as Approved Supervising Manager;
  - (d) make only those Material Changes to the Bayside Divestiture Property which have been approved by the ACCC or which are consistent with the Approved Management Plans;
  - (e) supervise the operation and management of the Bayside Divestiture Property to the maximum extent practicable, in a manner which is consistent with the Approved Management Plans;
  - (f) co-operate with the requests of any Approved Independent Auditor appointed pursuant to this Undertaking;
  - (g) provide the following reports directly to the ACCC:
    - (i) a monthly written report regarding the Bayside Manager's compliance with this Undertaking; and
    - (ii) an immediate report of any issues that arise in relation to Novion's or the Bayside Manager's compliance with this Undertaking; and
  - (h) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Supervising Manager pursuant to this Undertaking.
- 9.10 Novion must procure that any terms of appointment for the Approved Supervising Manager provide the Approved Supervising Manager with the authority to:
- (a) supervise the management and operation of the Bayside Divestiture Property by the Bayside Manager according to the Approved Management Plans until the completion of the divestiture of the Bayside Divestiture Property or the Karingal Divestiture Property (as the case may be);
  - (b) provide any information requested by Novion pursuant to the Approved Management Plans;

- (c) ensure that the Bayside Manager renews or replaces upon expiry Material Contracts for the provision of goods or services to the Bayside Divestiture Property on commercial terms favourable to the Bayside Divestiture Property consistent with the Approved Management Plans;
- (d) authorise or veto any proposal by the Bayside Manager to engage, redeploy or make redundant personnel employed in the Bayside Divestiture Property, having regard to the Approved Management Plans; and
- (e) engage any external expertise, assistance or advice required by the Approved Supervising Manager to perform his or her functions as the Approved Supervising Manager, having regard to the Approved Management Plans.

**Novion's obligations in relation to the Approved Supervising Manager**

9.11 Without limiting its obligations in this Undertaking, Novion must:

- (a) comply with and enforce the Approved Terms of Appointment of the Approved Supervising Manager;
- (b) maintain and fund the Approved Supervising Manager to carry out his or her functions, including:
  - (i) indemnifying the Approved Supervising Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Supervising Manager of his or her functions as the Approved Supervising Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Supervising Manager; and
  - (ii) providing and paying for any goods or services, external expertise, assistance or advice required by the Approved Supervising Manager (and consistent with the Approved Management Plans) to perform his or her functions as the Approved Supervising Manager; and
- (c) allow the Approved Supervising Manager to carry out his or her obligations as the Approved Supervising Manager, including:
  - (i) accepting (and directing the Bayside Manager and its directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Supervising Manager as to the control, management, financing and operations of the Bayside Divestiture Property in accordance with the Approved Management Plans, and for the Bayside Divestiture Property to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
  - (ii) providing access to the facilities, sites or operations of the Bayside Divestiture Property required by the Approved Supervising Manager;
  - (iii) providing to the Approved Supervising Manager any information or documents that he or she considers necessary in his or her role, or for reporting to or otherwise advising the ACCC; and

- (iv) not appointing the Approved Supervising Manager, or having any Agreements with the Approved Supervising Manager, other than pre-existing employment or contractor agreements, to utilise the Approved Supervising Manager's services for anything other than compliance with this Undertaking during the period of his/her appointment.

#### **Resignation, revocation or termination of the Approved Supervising Manager**

- 9.12 Novion must immediately notify the ACCC in the event that the Approved Supervising Manager resigns or otherwise stops acting as the Approved Supervising Manager before the completion of the divestiture of the Bayside Divestiture Property.
- 9.13 The ACCC may revoke an Approved Supervising Manager's status as the Approved Supervising Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 9.14 The ACCC may approve any proposal by, or alternatively may direct, Novion to terminate the appointment of the Approved Supervising Manager if in the ACCC's view the Approved Supervising Manager acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

#### **10 Independent Audit**

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##### **Obligation to appoint an Approved Independent Auditor**

- 10.1 Novion must appoint and maintain an Approved Independent Auditor to audit and report upon Novion's compliance with this Undertaking.

##### **Process for approving a Proposed Independent Auditor**

- 10.2 At least 15 Business Days before the Control Date, Novion must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 10.3 If clause 10.16, 10.17 or 10.18 applies, Novion must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 10.8 applies.
- 10.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 10.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
  - (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
  - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Novion;

- (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
- (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

#### **Appointment of the Approved Independent Auditor**

- 10.6 After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, Novion must by the Control Date:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
  - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

#### **Failure to appoint**

- 10.7 If the Approved Independent Auditor has not been appointed:
- (a) by the Control Date;
  - (b) within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clauses 10.16, 10.17 or 10.18; or
  - (c) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 10.3;
- then the provisions of clause 10.8 apply.
- 10.8 If clause 10.7 applies, the ACCC at its absolute discretion may:
- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
  - (b) direct Novion to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

#### **Obligations and powers of the Approved Independent Auditor**

- 10.9 Novion must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
- (a) maintain his or her independence from Novion, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in part 2(c) of Schedule 3 to this Undertaking with Novion for the period of his or her appointment;
  - (b) conduct compliance auditing according to the Approved Audit Plan;
  - (c) provide the following reports directly to the ACCC:
    - (i) a scheduled written Audit Report as described in clause 10.11 and clause 10.12; and

- (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
  - (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- 10.10 Novion must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
  - (a) access the facilities, sites or operations of the Bayside Divestiture Property and of Novion's head office as required by the Approved Independent Auditor;
  - (b) access any information or documents that the Approved Independent Auditor considers reasonably necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
  - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

#### **Compliance Audit**

- 10.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:
  - (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
  - (b) a full audit of Novion's compliance with this Undertaking;
  - (c) identification of any areas of uncertainty or ambiguity in the Auditor's interpretation of any obligations contained in this Undertaking;
  - (d) all of the reasons for the conclusions reached in the Audit Report;
  - (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
  - (f) any recommendations by the Approved Independent Auditor to improve:
    - (i) the Approved Audit Plan;
    - (ii) the integrity of the auditing process;
    - (iii) Novion's processes or reporting systems in relation to compliance with this Undertaking; and
    - (iv) Novion's compliance with this Undertaking; and
  - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- 10.12 The Approved Independent Auditor is to provide an Audit Report to the ACCC and Novion at the following times:
  - (a) within 10 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved

Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);

- (b) every month from the date of the Establishment Audit until one month after the divestiture of the Bayside Divestiture Property or the Karingal Hub Divestiture Property (as the case may be) is completed;
  - (c) every three months after the date of provision of the last Audit Report pursuant to clause 10.12(b), until the ACCC confirms in writing to Novion that it is satisfied that Novion has fulfilled their obligations pursuant to this Undertaking; and
  - (d) a final report due three months after the last report provided pursuant to clause 10.12(c).
- 10.13 Novion must implement any recommendations made by the Approved Independent Auditor in Audit Reports, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 10.14 Novion must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such longer period as agreed with the ACCC).

**Novion's obligations in relation to the Approved Independent Auditor**

- 10.15 Without limiting their obligations in this Undertaking, Novion must:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
  - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
    - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
    - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor;
  - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
    - (i) directing Novion personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 10;
    - (ii) providing access to the facilities, sites or operations of the Bayside Divestiture Property and the head office of Novion as required by the Approved Independent Auditor;

- (iii) providing to the Approved Independent Auditor any information or documents he or she considers reasonably necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or having any agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

#### **Resignation or termination of the Approved Independent Auditor**

- 10.16 Novion must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 10.17 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 10.18 The ACCC may approve any proposal by, or alternatively may direct, Novion to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

### **11 Failure to divest the Divestiture Property within the Initial Sale Period**

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#### **Divestiture of the Unsold Property**

- 11.1 If the Bayside Divestiture Property is the Unsold Property, Novion must take all steps to enable Federation Centres to comply with its obligations under clause 11 of the Federation Undertaking.

### **12 Notification of key dates and ACCC requests for Information**

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- 12.1 Novion must notify the ACCC and each Undertaking Appointment in writing of:
  - (a) the anticipated date of the Control Date, at least five Business Days before that date;
  - (b) the anticipated date of the completion of the divestiture of the Bayside Divestiture Property, at least five Business Days before that date;
  - (c) the occurrence of the Control Date, within one Business Day of that date; and
  - (d) the occurrence of the completion of the divestiture of the Bayside Divestiture Property, within one Business Day of that date.
- 12.2 The ACCC may direct Novion in respect of its compliance with this Undertaking to, and Novion must:

- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
  - (b) produce documents and materials to the ACCC within Novion's custody, power or control in the time and in the form requested by the ACCC; and/or
  - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.3 Any direction made by the ACCC under clause 12.2 will be notified to Novion, in accordance with clause 17.2.
- 12.4 In respect of Novion's compliance with this Undertaking or an Undertaking Appointment's compliance with their Approved Terms of Appointment, the ACCC may request the Undertaking Appointment to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
  - (b) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
  - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.5 Novion must use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 12.4.
- 12.6 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 12 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 12.7 The ACCC may in its discretion to be exercised in good faith:
- (a) advise any Undertaking Appointment of any request made by it under this clause 12; and/or
  - (b) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 12.
- 12.8 Nothing in this clause 12 requires the provision of information or documents in respect of which Novion has a claim of legal professional or other privilege.

### **13 Disclosure of the Undertaking**

- 13.1 Novion and the ACCC agree that Schedule 5 will remain confidential until after the completion of the divestiture of the Bayside Divestiture Property, the Karingal Hub Divestiture Property (as the case may be) or the Unsold Business.
- 13.2 Novion acknowledges that the ACCC may provide each Undertaking Appointment, and any approved divestiture agent appointed under the Federation Undertaking, with a copy of this Undertaking which include unredacted versions of Schedule 5.
- 13.3 Novion acknowledges that the ACCC may, subject to clauses 13.1:
- (a) make this Undertaking publicly available;

- (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
  - (c) from time to time publicly refer to this Undertaking.
- 13.4 Nothing in clause 13.1 or the confidential parts of this Undertaking referred to in clause 13.1 prevents the ACCC from disclosing such information as is:
  - (a) required by law;
  - (b) permitted by section 155AAA of the Act;
  - (c) necessary for the purpose of enforcement action under section 87B of the Act; or
  - (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- 13.5 Nothing in clause 13.1 or the confidential parts of this Undertaking referred to in clause 13.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

#### **14 Obligation to procure**

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- 14.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Novion to take or refrain from taking some action, Novion must procure that Related Body Corporate to take or refrain from taking that action.

#### **15 No Derogation**

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- 15.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Novion of any term of the Undertaking.
- 15.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Novion does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

#### **16 Costs**

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- 16.1 Novion must pay all of its own costs incurred in relation to this Undertaking.

#### **17 Notices**

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##### **Giving Notices**

- 17.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: [mergers@accc.gov.au](mailto:mergers@accc.gov.au)  
Attention: Executive General Manager  
Merger and Authorisation Review Division

With a copy sent to: [mergersucu@accc.gov.au](mailto:mergersucu@accc.gov.au)  
Attention: Director, Undertaking Compliance Unit  
Coordination and Strategy Branch  
Merger and Authorisation Review Division

17.2 Any notice or communication to Novion pursuant to this Undertaking must be sent to:

Name: Mark Feikema, Novion Property Group  
Address: 1341 Dandenong Road, Chadstone VIC 3148  
Email Address: [Mark.Feikema@novion.com.au](mailto:Mark.Feikema@novion.com.au)  
Fax number: +61 3 9936 1593  
Attention: Mark Feikema

17.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

17.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

#### **Change of contact details**

17.5 Novion must notify the ACCC of a change to their contact details within three Business Days.

17.6 Any notice or communication sent to the most recently advised contact details and subject to clause 17.3 and 17.4, will be taken to be received.

### **18 Defined terms and interpretation**

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#### **Definitions in the Dictionary**

18.1 A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (**Dictionary**), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

#### **Interpretation**

18.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Novion RE Limited (ABN 33 084 098 180) pursuant to section 127(1) of the *Corporations Act 2001* by:

Signature of director

**Angus McNaughton**

Name of director (print)  
**Managing Director**

Date: 20.5.2015

Signature of company secretary

**Michelle Tamara Brady**

Name of company secretary (print)

Date: 20.5.2015

Executed by Novion Limited (ABN 79 167 087 363) pursuant to section 127(1) of the *Corporations Act 2001* by:

Signature of director

**Angus McNaughton**

Name of director (print)  
**Managing Director**

Date: 20.5.2015

Signature of company secretary

**Michelle Tamara Brady**

Name of company secretary (print)

Date: 20.5.2015

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* on:

And signed on behalf of the Commission:

Chairman

Date

20 May 2015

Date

21 May 2015

## Schedule 1

### 1 Dictionary

**ACCC** means the Australian Competition and Consumer Commission.

**Act** means the *Competition and Consumer Act 2010 (Cth)*.

**Agreements** means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

**Approved Audit Plan** means the plan approved by the ACCC in accordance with the terms of this Undertaking by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

**Approved Independent Auditor** means the person approved by the ACCC and appointed under clause 10 of this Undertaking.

**Approved Supervising Manager** means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

**Approved Management Plans** means the annual income and operating expenses budget, strategic asset plan, leasing plan and marketing plan as approved by Novion (as responsible entity of the Novion Trust), on or before the Control Date, relating to the Bayside Divestiture Property for the 2015-2016 Financial Year.

**Approved Purchaser** means:

- (a) the person approved by the ACCC under clause 7.3 to this Undertaking, or
- (b) a person approved by the ACCC under clause 7 of the Federation Undertaking in relation to the Bayside Divestiture Property if the Bayside Divestiture Property is the Unsold Property.

**Approved Property Sale Agreement** means the contract for the divestiture of the Bayside Divestiture Property or Unsold Property which has been approved by the ACCC:

- (a) in accordance with the terms of this Undertaking; or
- (b) in accordance with the terms of the Federation Undertaking if the Bayside Divestiture Property is the Unsold Property.

**Approved Terms of Appointment** means the terms of appointment for the Approved Supervising Manager or Approved Independent Auditor, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

**Approved Transitional Supply Agreement** means any agreement for the supply of services by Novion to the Approved Purchaser, approved by the ACCC in accordance with the terms of this Undertaking.

**Associated Entity** has the meaning given by section 50AAA of the *Corporations Act 2001 (Cth)*.

**Audit Report** has the meaning given in clause 10.11 of this Undertaking.

**Bayside Divestiture Property** means Novion's 100 per cent interest in all assets and interests described in Schedule 4 to this Undertaking.

**Bayside Manager** is Novion Property Management Pty Ltd (ACN 101 504 045), which is the manager appointed by Novion to manage the Bayside Divestiture Property.

**Bayside Transferred Personnel** is defined in clause 6.7 of the Undertaking.

**Business Day** means a day other than a Saturday or Sunday on which banks are open for business generally in Victoria.

**Commencement Date** means the date described in clause 3.1 of this Undertaking.

**Consents** means any Government Consents or Third Party Consents.

**Control Date** means the date on which the Proposed Transaction is completed.

**Corporations Act** means the *Corporations Act 2001* (Cth).

**Entities Connected** has the meaning given by section 64B of the *Corporations Act 2001* (Cth).

**Establishment Audit** has the meaning given to it in clause 10.12 to this Undertaking.

**Federation Centres** has the meaning given to it in clause 1.2 to this Undertaking.

**Federation Manager** has the meaning given to it in clause 1.2 to this Undertaking.

**Federation Undertaking** means the section 87B undertaking provided by Federation Centres and Federation Manager to the ACCC in relation to the Proposed Transaction.

**Government Consents** means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the operation of the Bayside Divestiture Property.

**Initial Sale Period** is defined in Confidential Schedule 5 to this Undertaking.

**Karingal Hub Divestiture Property** is defined in the Federation Undertaking.

**Material Change** means any change to the structure, attributes, extent or operations of the Bayside Divestiture Property that may affect, or impact on, the competitiveness of the Bayside Divestiture Property.

**Novion** has the meaning given to it in clause 1.2 to this Undertaking.

**Proposed Independent Auditor** means a person named in a Proposed Independent Auditor Notice.

**Proposed Independent Auditor Notice** has the meaning given to it in clause 10.2 of this Undertaking.

**Proposed Supervising Manager** means a person named in a Proposed Supervising Manager Notice.

**Proposed Supervising Manager Notice** means a notice in the form prescribed in Schedule 3 of this Undertaking.

**Proposed Purchaser** means a person named in a Proposed Purchaser Notice.

**Proposed Purchaser Notice** has the meaning given to it in clause 7.1 of this Undertaking.

**Proposed Transaction** is defined in clause 2.10 of this Undertaking.

**Public Mergers Register** means the ACCC's public register of merger clearances, available at [www.accc.gov.au](http://www.accc.gov.au).

**Public Section 87B Undertakings Register** means the ACCC's public register of section 87B undertakings, available at [www.accc.gov.au](http://www.accc.gov.au).

**Related Bodies Corporate** has the meaning given by section 4A of the Act.

**Related Entities** has the meaning given by section 9 of the *Corporations Act 2001* (Cth).

**Related Parties** has the meaning given by section 228 of the *Corporations Act 2001* (Cth).

**Third Party Consents** means any consents from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approvals or contracts required for the operation of the Bayside Divestiture Property.

**Undertaking** is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

**Undertaking Appointment** means the Approved Supervising Manager or the Approved Independent Auditor, as applicable.

**Unsold Property** has the meaning given in the Federation Undertaking.

## **2 Interpretation**

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;

- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
  - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the ACCC's competition concerns intended to be addressed by the Undertaking and the clause in question; or
  - (ii) determine the meaning of a clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to:
  - (i) the effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
  - (ii) the need to ensure that the result of the Undertaking is to completely address any of the ACCC's competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Novion will do everything within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
  - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
  - (ii) a party includes its successors and permitted assigns; and

(iii) a monetary amount is in Australian dollars.

## **Schedule 2 — Proposed Purchaser Notice Form**

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

### **Email**

Subject line: Proposed Purchaser Notice — [insert name of undertaking]

Address: [mergers@accc.gov.au](mailto:mergers@accc.gov.au)

Attention: Executive General Manager — Mergers and Authorisation Review Division

With an email copy sent to:

Address: [mergersucu@acce.gov.au](mailto:mergersucu@acce.gov.au)

Attention: Director, Undertaking Compliance Unit Merger Coordination and Strategy Brand, Merger and Authorisation Review Division

1. In relation to the Proposed Purchaser, please provide the following information:
  - (a) Name of the Proposed Purchaser:
  - (b) Address:
  - (c) Contact name:
  - (d) Telephone number:
  - (e) Other contact details:
2. Please attach a submission containing the following information to this form:
  - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business;
  - (b) details of the Proposed Purchaser's experience in the relevant market/s;
  - (c) the names of the [owner/s and the directors (delete any that do not apply)] of the Proposed Purchaser;
  - (d) details of any of the following types of relationships between Novion, Federation Centres and Federation Manager, and the Proposed Purchaser, or confirmation that no such relationship exists whether within Australia or outside of Australia:
    - (i) Novion, Federation Centres or Federation Manager and the Proposed Purchaser are Associated Entities;
    - (ii) Novion, Federation Centres or Federation Manager is an Entity Connected with the Proposed Purchaser;
    - (iii) the Proposed Purchaser is an Entity Connected with Novion, Federation Centres or Federation Manager;

- (iv) Novion, Federation Centres or Federation Manager and the Proposed Purchaser are Related Entities;
  - (v) Novion, Federation Centres or Federation Manager and the Proposed Purchaser are Related Parties;
  - (vi) any Related Party, Related Entity or Entity Connected with Novion, Federation Centres or Federation Manager is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
  - (vii) Novion, Federation Centres or Federation Manager and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
  - (viii) the Proposed Purchaser is a supplier of Novion, Federation Centres or Federation Manager or has been in the past three years;
  - (ix) Novion, Federation Centres or Federation Manager is a supplier of the Proposed Purchaser or has been in the past three years; and
  - (x) any other relationship between Novion, Federation Centres or Federation Manager and the Proposed Purchaser that allows one to affect the business decisions of the other.
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of Novion:
- (i) whether the draft property sale agreement is consistent with this Undertaking;
  - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft property sale agreement;
  - (iii) whether the Proposed Purchaser is of good financial standing;
  - (iv) whether the Proposed Purchaser has an intention to maintain and operate the Bayside Divestiture Property as a going concern;
  - (v) whether the Proposed Purchaser is able to conduct the Bayside Divestiture Property effectively or intends to appoint a suitably qualified person to conduct the Bayside Divestiture Property effectively; and
  - (vi) whether the divestiture of the Bayside Divestiture Property to the Proposed Purchaser will address any competition concerns of the ACCC, including any relationships (including but not limited to shareholding interests, other proprietary interests, contracts, arrangements or understandings) between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Bayside Divestiture Property under the ownership of the Proposed Purchaser; and
- (f) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire or operate the Bayside Divestiture Property, such as outstanding legal action or disputes.

3. Please also attach to this form:

- (a) the finalised draft of the property sale agreement for approval by the ACCC in accordance with this Undertaking;
- (b) the finalised draft of any transitional supply agreement for approval by the ACCC in accordance with this Undertaking; and
- (c) any documents required to support the information provided by Novion pursuant to this form.

### **Schedule 3 — Undertaking Appointment**

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- Approved Supervising Manager; or
- Independent Auditor;

(the **Undertaking Appointments**).

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

#### **Method of Delivery to the ACCC**

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line (*proposed* [only include relevant Undertaking Appointment i.e. Independent Auditor/Approved Supervising Manager] *Form* – [insert name of undertaking] to the below email addresses:

mergers@accc.gov.au

Attention: Executive General Manager

Mergers and Authorisation Division

With an email copy sent to:

mergersucu@accc.gov.au

Attention: Director

Undertaking Compliance Unit

Coordination and Strategy Branch

Mergers and Authorisation Division

#### **Information Required**

The ACCC requires the following information in order to assess a proposed Independent Auditor or Approved Supervising Manager (i.e. the relevant Undertaking Appointment).

1. Proposed Undertaking Appointment Details:
  - (a) the name of the Proposed Undertaking Appointment; and
  - (b) the name of the Proposed Undertaking Appointment's employer, details of the position in which the Undertaking Appointment is currently employed, and contact details including:
    - Address
    - Contact name

- Telephone number
  - Other contact details.
2. A submission containing the following information:
- (a) details of the Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking; and
  - (b) the names of the [owner/s and the directors (delete any that do not apply)] of [the Undertaking Appointment's employer];
  - (c) details of any relationship between Novion, Federation Centres or Federation Manager and the Undertaking Appointment other than an employment relationship as referred to in clause 1(b) above, whether within Australia or outside of Australia.
  - (d) details of any of the following types of relationships between Novion and the Undertaking Appointment or the Undertaking Appointment's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
    - (i) Novion and the Undertaking Appointment's employer are Associated Entities;
    - (ii) Novion is an Entity Connected with the Undertaking Appointment's employer;
    - (iii) The Undertaking Appointment's employer is an Entity Connected with Novion;
    - (iv) Novion and the Undertaking Appointment's employer are Related Entities;
    - (v) Novion and the Undertaking Appointment's employer are Related Parties;
    - (vi) any Related Party, Related Entity or Entity Connected with Novion is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment;
    - (vii) Novion and [the Undertaking Appointment] or the Undertaking Appointment's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
    - (viii) the Undertaking Appointment's employer is a supplier of Novion or has been in the past three years;
    - (ix) Novion is a supplier of the Undertaking Appointment's employer or has been in the past three years and
    - (x) any other relationship between Novion and the Undertaking Appointment or the Undertaking Appointment's employer that allows one to affect the business decisions of the other.
3. A document outlining the terms of appointment of the proposed Undertaking Appointment.

**Specific Information required for Undertaking Appointments**

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

***Proposed Independent Auditor***

1. A finalised draft audit plan for the Bayside Divestiture Property, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

***Proposed Supervising Manager***

1. A copy of the Approved Management Plans.
2. A proposed plan setting out the basis on which the Approved Supervising Manager will work with the Bayside Manager in the effective management of the Bayside Divestiture Property. This plan is to be drafted by the Approved Supervising Manager in consultation with Novion to achieve the objectives of the Undertaking, including:
  - (a) the intended mode of operation of the Bayside Divestiture Property until completion of its divestiture;
  - (b) details of contracts for the provision of goods or services to the Divestiture Business which will expire after the completion of the divestiture of the Divestiture Business to the Approved Purchaser and the actions which will be taken to ensure they are replaced, renewed and/or renegotiated on commercial terms favourable to the Divestiture Business;
  - (c) personnel planning to maintain appropriate personnel levels and ensure that the Bayside Divestiture Property has access to all personnel necessary to operate the Bayside Divestiture Property;
  - (d) any Material Changes to the Bayside Divestiture Property required in order to fulfil Federation Centres', Federation manager's and the Approved Supervising Manager's obligations pursuant to the Undertaking;
  - (e) the cooperation required from the Supervising Manager with Novion and in relation to the divestiture of the Bayside Divestiture Property, including the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Bayside Divestiture Property will be managed.
  - (f) the creation and maintenance of an office or work area in the Bayside Divestiture Property for the Approved Supervising Manager to work from on a day-to-day basis.
  - (g) the proposed daily communication and cooperation arrangements between the Approved Supervising Manager and the Bayside Manager at the Bayside Divestiture Property to ensure the effective management of the Bayside Divestiture Property, consistently with the Approved Management Plans and this Undertaking; and
  - (h) the arrangements and cooperation required from the Approved Supervising Manager by Novion in relation to the divestiture of the Bayside Divestiture Property, including the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Bayside Divestiture Property will be managed.

#### Schedule 4 – Bayside Divestiture Property

The Bayside Divestiture Property comprises the Bayside Shopping Centre being the whole of the land comprised in the title particulars set out below:

| CENTRE /<br>PROPERTY         | STREET ADDRESS                       | TITLE PARTICULARS      |                        |
|------------------------------|--------------------------------------|------------------------|------------------------|
| Bayside                      | Shopping Centre                      | Volume 10361 Folio 031 | Volume 9823 Folio 350  |
|                              |                                      | Volume 10202 Folio 388 | Volume 9823 Folio 351  |
|                              |                                      | Volume 10011 Folio 405 | Volume 9823 Folio 352  |
|                              |                                      | Volume 10479 Folio 493 | Volume 10671 Folio 298 |
|                              |                                      | Volume 9823 Folio 349  |                        |
|                              | North of Beach Street Car Park       | Volume 5726 Folio 045  |                        |
|                              | Corner Fletcher Road & Evelyn Street | Volume 6530 Folio 976  | Volume 5625 Folio 988  |
|                              |                                      | Volume 6696 Folio 005  | Volume 4738 Folio 488  |
|                              |                                      | Volume 5832 Folio 269  |                        |
|                              |                                      | Volume 10972 Folio 886 | Volume 10972 Folio 887 |
| Bayside Entertainment Centre | 2, 4, 6 & 8 Olsen Street, Frankston  | Volume 9823 Folio 345  | Volume 9823 Folio 347  |
|                              |                                      | Volume 9823 Folio 346  | Volume 9823 Folio 348  |
|                              | 11-15 Station Street, Frankston      | Volume 11028 Folio 693 |                        |
|                              | 19A Station Street, Frankston        | Volume 9667 Folio 573  |                        |
|                              | 21 Station Street, Frankston         | Volume 10051 Folio 395 |                        |
|                              | Air Space                            | Volume 10931 Folio 050 |                        |
|                              |                                      |                        |                        |
| Bayside Entertainment Centre | Centre                               | Volume 10805 Folio 645 |                        |

| CENTRE /<br>PROPERTY          | STREET ADDRESS          | TITLE PARTICULARS                                                                                                             |
|-------------------------------|-------------------------|-------------------------------------------------------------------------------------------------------------------------------|
|                               | Young Street properties | Volume 6766 Folio 054      Volume 8844 Folio 359<br>Volume 5072 Folio 306      Volume 9906 Folio 050<br>Volume 5548 Folio 575 |
| <b>Bayside –<br/>Balmoral</b> |                         | Volume 9163 Folio 936                                                                                                         |

together with all:

- buildings, plant and equipment and other improvements;
- contracts including services agreements;
- permits and licences granted by government agencies and necessary for the ownership and operation of the relevant property;
- agreements for the leasing and/or hiring of plant and equipment;
- records including books, turnover records, plans and drawings;
- tenancy agreements, leases and licences; and
- all ancillary agreements to which Novion (or a related body corporate) is a party or lessee.

**Schedule 5 - Confidential**